

FEDERAL MARITIME COMMISSION

DOCKET NO. 21-17

**OCEAN NETWORK EXPRESS PTE. LTD. and OCEAN NETWORK EXPRESS
(NORTH AMERICA) INC. - POSSIBLE VIOLATIONS OF 46 U.S.C. § 41102(c)**

**BUREAU OF ENFORCEMENT’S RESPONSE TO
RESPONDENTS’ MOTION TO DISMISS**

The Bureau of Enforcement (BOE) files this response in opposition to the Motion to Dismiss (MTD) filed by Ocean Network Express PTE. LTD. (ONE) and Ocean Network Express (North America) Inc. (ONE NA) (collectively “Respondents”). For the reasons set forth below, Respondents’ MTD should be denied.

BACKGROUND

The Federal Maritime Commission (Commission) issued an Order of Investigation and Hearing (OIH) on December 30, 2021 to determine whether Respondents violated 46 U.S.C. § 41102(c) by demanding payment of demurrage, detention, per diem and/or other charges from Greatway Logistics Group, LLC (Greatway). Respondents filed a Petition to the Commission for Reconsideration and Rescission on January 19, 2022, which was denied by the Commission on January 28, 2022. Respondents filed a MTD on February 4, 2022, for failure to state a claim for which relief could be granted and ONE NA moved to be dismissed for lack of jurisdiction.

LEGAL STANDARDS

Respondents filed the MTD pursuant to 46 C.F.R. 502.69(g) and 70 of the Commission's rules of practice and procedure. Although the Commission's rules do not provide the standards for motions to dismiss, such motions are reviewed pursuant to Federal Rules of Civil Procedure (FRCP), as applicable to Commission proceedings pursuant to 46 C.F.R. § 502.12. *See, e.g., YSN Imports Inc. v. Oberlander*, 2021 FMC LEXIS 104 at *2-3 (ALJ Order, July 7, 2021); *Carlstar Group LLC v. UTI United States, Inc.*, 2018 FMC LEXIS 45 (ALJ Order 2018). Respondents filed the motions to dismiss under 12(b)(1) of the FRCP for lack of subject matter jurisdiction and Rule 12(b)(6) for failure to state a claim.

As noted by the Respondents, in *YSN Imports* the Presiding Officer explained, "the Commission looks to Federal Rules of Civil Procedure 12(b)(1) when considering dismissals based on lack of subject matter jurisdiction, and to Rule 12(b)(6) when considering dismissals based on failure to state a claim." *YSN Imports* at *3. For a motion to dismiss for failure to state a claim, "the facts alleged are taken as true and all reasonable inferences are drawn in the complainant's favor." *MAVL Capital*, 2020 FMC LEXIS 216 at *6, citing *Maier Terminals, LLC v. The Port Authority of New York and New Jersey*, 34 S.R.R. 35, 54, 2015 FMC LEXIS 43 at *36 (FMC 2015). As the Presiding Officer elaborated, "[t]o survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to 'state a claim to relief that is *plausible on its face*.'" *MAVL Capital*, citing *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). (*Emphasis added*). A claim "has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged." *Ashcroft v. Iqbal*, 556 U.S. 662, 663 (2009), *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics*, 32 S.R.R. 126, 136, 2011 FMC LEXIS 12 at *31-32 (FMC 2011), *YSN Imports* at *3.

The Commission looks to FRCP 12(b)(1) when considering dismissals based on lack of subject matter jurisdiction. Under FRCP 12(b)(1), there are two different types of jurisdictional attacks. In a “factual attack,” a court may consider matters outside the pleadings. *Beck v. McDonald*, 848 F.3d 262, 270 (4th Cir. 2017) (“In a factual challenge, the defendant argues ‘that the jurisdictional allegations of the complaint [are] not true,’ providing the trial court the discretion to ‘go beyond the allegations of the complaint and in an evidentiary hearing determine if there are facts to support the jurisdictional allegations.’” (quoting *Adams v. Bain*, 697 F.2d 1213, 1219 (4th Cir. 1982))). In that situation, the presumption of truthfulness normally granted allegations does not apply. *Id.*

In a “facial attack” on subject matter jurisdiction, the court examines whether the complaint has sufficiently alleged subject matter jurisdiction. *Carlstar Group LLC v. UTI United States, Inc.*, 2018 FMC LEXIS 45 (ALJ Order 2018). Consequently, complainants have the same procedural protection afforded respondents under FRCP 12(b)(6). *Beck*, 848 F.3d at 270. In other words, all well-pleaded allegations are accepted as true and interpreted in the light most favorable to the complainant. *See Erby v. United States*, 424 F. Supp. 2d 180, 182 (D.D.C. 2006).

MOTION TO DISMISS FOR LACK OF JURISDICTION OVER ONE NA

ONE NA argues that the Commission lacks personal and subject matter jurisdiction over ONE NA. MTD at *5-6. However, ONE NA acted as a principal and carrier in its own name to enforce the terms of the bills of lading against Greatway and so is properly a named respondent in this matter. *Id.*

The Commission issued the OIH based, in part, on ONE NA and ONE’s demands for payment of charges by Greatway with respect to two bills of lading in a federal court action in Texas. *Ocean Network Express (North America) Inc. and Ocean Network Express PTE. LTD. v.*

Pacific Lumber Resources, Inc. et al, No.20-CV-01734 (S.D. Tex. May 18, 2020).¹ ONE NA identifies itself in the Complaint as “a foreign corporation organized under the laws of Virginia with its principal office located in Richmond, Virginia,” and ONE identified itself as “a foreign business entity based in Singapore.” Texas Complaint at paragraphs 3,4. ONE NA filed the Texas Complaint in its own name for charges owed to ONE NA by Greatway, among other defendants. In ONE NA’s MTD now before this Court, ONE NA states that “nor do shippers pay ocean freight and other charges to the account of ONE NA.” MTD at 6. In contrast, in the Texas Complaint, ONE NA asserted that “[t]his claim is for unpaid charges owed by the Defendants (Greatway) to Plaintiffs (ONE NA).” Texas Complaint at paragraph 11. ONE NA had thus declared itself a principal and carrier for those shipments and entitled to payment for the charges at issue in that litigation. However, in its MTD, ONE NA represents that shippers do not pay freight and other charges to the account of ONE NA despite its demand for payment of the same charges from the very same party under the same shipments that are now at issue before the FMC. MTD at 6.

Further, ONE NA complains that the OIH “conflates ONE NA with ONE,” yet it repeatedly does the same. MTD at 6. ONE NA and ONE utilize the same email domain “@one-line.com” as well as the same IP service marks. On the arrival notice issued to Greatway, ONE identifies its office (not its agent’s) address as: Ocean Network Express (North America) Inc., 8730 Stony Point Parkway, Richmond, VA 23235, Phone Number: +1 844-413-6029, Phone Number: +1 804-410-1255 (Local). Attachment 2.

ONE NA declared itself a principal and carrier in its own right in the Texas complaint in order to enforce the terms of the bills of lading in its own name. To the extent that uncertainty

¹ The Respondents’ Complaint in the Texas proceeding is attached hereto as Attachment 1. The Complaint includes as Exhibits 1 and 2 the bills of lading or BOLs at issue, and Exhibit 3 and 4 are the invoices ONE NA issued to PLR. Attachment 2 is the arrival notice issued by Respondents.

remains with regard to ONE NA's status, then proceeding to discovery would be appropriate to resolve any such open question. Accordingly, the Commission has jurisdiction over ONE NA in this proceeding.

MOTION TO DIMISS FOR FAILURE TO STATE A CLAIM

Respondents assert that the OIH fails to allege facts sufficient to establish two of the requisite elements to prove a violation of 46 U.S.C. § 41102(c), as interpreted by 46 C.F.R. § 545.4. Namely, that BOE must establish that (i) pursuant to 46 C.F.R. § 545.4(b), "the claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;" and (ii) pursuant to 46 C.F.R. § 545.4(d), "the practice or regulation is unjust or unreasonable." As described below and assuming the facts as alleged are true for the purpose of this motion, both elements are satisfied, and the motion should be denied.

The OIH alleges facts sufficient to demonstrate that a claim of a violation is plausible on its face. The OIH states the following pertinent allegations:²

2. [Respondents are] alleged to have overbroadly defined and applied the definition of merchant in its BOL in such a manner as to unilaterally impose joint and several liability for freight and/or charges on a party with whom ONE was not in contractual privity and who had not consented to be bound by the terms of the BOL.

11. [Respondents] issued bills of lading numbered ONEYSAOU24000400 and ONEYSAOU24596300.

² The OIH defined ONE and ONE NA collectively as 'ONE.' For the sake of clarity in this Response to MTD, BOE has endeavored to refer to the respondents in the conjunctive as "Respondents."

12. As an Ocean Common Carrier, [Respondents] provided ocean transportation for compensation under BOLs ONEYSAOU24000400 and ONEYSAOU24596300 for cargo from Brazil to Houston, TX.
13. On BOLs ONEYSAOU24000400 and ONEYSAOU24596300, Greatway was not shown as the Shipper or Consignee.
14. Greatway was listed on [Respondents] BOL ONEYSAOU24000400 as a notify party.
15. Greatway was not identified on [Respondents] BOL ONEYSAOU24596300.
16. Upon information and belief, Greatway was not a party to either bill of lading and did not consent to their terms and conditions.
17. Upon information and belief, Greatway had no interest in the cargo as consignee, shipper, or beneficial owner of the cargo.
18. Upon information and belief, Greatway's role in the subject shipments was limited to either arranging for customs clearance by a licensed customs broker for the Consignee, Pacific Lumber Resources, Inc. (PLR) or serving only as the notify party.
19. Upon information and belief, for the subject shipments, Greatway acted in a limited capacity on behalf of a disclosed principal, PLR.
20. Upon information and belief, the cargo moving under the identified BOLs arrived at the Port of Houston in November 2018. Due to a commercial dispute not involving Greatway, the cargo was not picked up until January 2019 accruing charges owed to Respondents.

21. In May 2020, [Respondents] filed suit in the United States District Court for the Southern District of Texas against Greatway demanding payment for charges accrued on the above referenced shipments. (Case No. 4:20-CV-1734).

22. Upon information and belief, Respondents never demanded payment from Greatway prior to initiation of [Respondents'] action in the Texas federal district court for the accrued charges relating to the BOLs.

24. [Respondents] BOL Terms and Conditions defines "Merchant" as "the Shipper, Consignee, owner, Person owning or entitled to possession of the Goods or of this Bill, Receiver, Holder, and anyone acting on behalf of any such person, including but not limited to agents, servants, independent contractors, non-vessel operating common carriers ("NVOCCs"), and freight forwarders."

25. [Respondents] BOL Terms and Conditions state that the "Merchant" is liable for all charges associated with a bill of lading.

26. Upon information and belief, [Respondents] unreasonably defined and applied its definition of a merchant to demand payment from Greatway, when Greatway was not in privity of contract with [Respondents], did not have a beneficial interest in the cargo moved, and did not assent to be bound to [Respondents'] BOL Terms and Conditions or to be liable for payment of any charges due to [Respondents].

27. [Respondents] actions described above constitute its normal, customary and continuous business practice.

OIH at 3-6.

Normal, Customary and Continuous

Respondents fundamentally and fatally misconstrue the nature of the practice alleged in the OIH. Respondents refute the fact that the application of their Merchant clause against Greatway was pursuant to their normal, customary and continuous business practice that meets the standard of 46 C.F.R. § 545.4(b). As alleged in OIH paragraphs 24 to 27, Respondents' *practice* is established by its definition of Merchant in their bill of lading and the application of that definition to Greatway.

Respondents' bill of lading defines Merchant to include parties with whom Respondents are not in contractual privity and who have not otherwise consented to be bound by the terms of its bill of lading *except for* Respondents' unilateral imposition of their definition of a Merchant. Leaving aside the question of whether such practice is unjust or unreasonable for now, Respondents' definition of a Merchant in its bill of lading and their application of that definition to Greatway establishes Respondents' normal, customary and continuous practice for the purpose of 46 U.S.C. § 41102(c). *MAVL Capital*, 2021 FMC LEXIS 161.

Respondent's focus on recent Commission cases interpreting 46 C.F.R § 545.4(b) is misleading. Respondents cite *Hangzhou Qianwang Dress Co. v. RDD Freight International Inc.*, 2020 FMC LEXIS 192 (FMC 2020); *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, 2020 FMC LEXIS 238 (ALJ 2020), *aff'd*, 2021 FMC LEXIS 125 (FMC 2021); *Marie Carew v. Maersk Line A/S*, 2021 FMC LEXIS 183 (I.D.)(Admin. Final 2021); and *Andrew v. Marine Transport Logistics, Inc.*, 2022 FMC LEXIS 24 (I.D. 2022) for the principle that numerous instances are necessary to establish a practice. It is not. In each of the cases noted above, the complainant was seeking to establish a practice through repetitious conduct contrary to the

common carrier's stated practice.³ While necessary in certain contexts, in the matter currently before the Court it is not necessary to establish the practice through repetitious conduct. Respondents *stated* their practice of determining who is liable as a merchant in their bill of lading by and through its definition of a merchant. The terms and conditions of the bill of lading identify the Respondents' normal practice. The Presiding Officer recently issued a decision which firmly establishes this principle. In *MAVL Capital*,⁴ the Presiding Officer held that the "...bill of lading provisions identify [a respondent's] normal business practices...."

Taking each of the OIH allegations as true for the purpose of Respondents' Motion to Dismiss, Respondents normal business practices have been established as required by 46 C.F.R § 545.4(b). The Commission's OIH states a claim that is plausible on its face and provides fair notice of the nature of the claims and bases for asserting them. *Bell Atlantic Corp. v. Twombly*, 550 U.S. at 570; *Ashcroft v. Iqbal*, 556 U.S. 662, 677 (2009) and *Twombly*, 550 U.S. at 555. OIH Allegations 16-19 establish that Greatway was not a party to either of the two bills of lading at issue, had no interest in the cargo as consignee, shipper or beneficial cargo owner and had a limited role in the shipments by acting on behalf of a disclosed principal to either arrange for customs

³ Respondents assert that "BOE knows" that "ONE has never, apart from the unique factual circumstances giving rise to the Texas Litigation, attempted, and ONE does not attempt, to impose liability for ocean freight and associated storage and demurrage charges on any entity that does not appear as a shipper or a consignee on a straight bill of lading." MTD at 13. BOE does not concede this point and *knows* no such thing. ONE's Merchant definition encompasses entities beyond a "shipper or consignee on a straight bill of lading." Further, although BOE submits that the terms of its bills of lading establish ONE's practice for the purpose of 46 C.F.R. § 545.4(b), BOE has not had the opportunity to test ONE's assertion that the two shipments at issue are an isolated event. BOE sought to obtain such information through its issuance of discovery requests in *Greatway Logistics Group, LLC v. Ocean Network Express, PTE. LTD.*, Docket No. 21-04, though ONE did not provide the requested information due in part to the primary parties reaching a commercial settlement of the underlying dispute. In the event that the Presiding Officer determines that ONE's bill of lading does not establish its normal, customary and continuous practice in this matter, then proceeding to discovery is appropriate to resolve the open question.

⁴ Despite the Respondents' effort to obfuscate the current state of *MAVL Capital*, the case is currently before the Commission on exceptions based the appropriate level of reparations, not the Presiding Officer's finding of a Section 41102(c) violation based upon the terms of the respondent's bill of lading establishing its practices.

clearance or serving as notify party. OIH paragraph 24 sets forth Respondents' definition of Merchant, which "*includes anyone acting on behalf of [the shipper, consignee or beneficial cargo owner], including but not limited to agents, servants, independent contractors, non-vessel operating common carriers ("NVOCCs"), and freight forwarders.*" (*emphasis added.*). Respondents demanded payment from Greatway for charges pursuant to the definition of merchant in their bill of lading. OIH paragraphs 21, 25. Respondents' *practice* of applying the terms of its bills of lading fully meets the standards of 46 C.F.R. § 545.4(b), *MAVL Capital* and *Twombly*.

Unjust and Unreasonable Practice

This case raises the question of whether a practice which is disavowed under contract law can rise to being an unjust and unreasonable practice under Section 10(d)(1) of the Shipping Act of 1984, 46 U.S.C. § 41102(c). Case law is clear that a party cannot be bound to the terms of a bill of lading unless that party consents to be bound. *Zim Am. Integrated Shipping Servs. Co., LLC v. Sportswear Grp., LLC*, 2021 U.S. Dist. LEXIS 223441 (S.D.N.Y. 2021); *In re M/V Rickmers Genoa Litigation*, 622 F.Supp.2d 56, 71, (S.D.N.Y. 2009). Respondents, however, crafted their definition of a merchant to do exactly that: subject third parties to joint and several liability without their consent. Respondents' definition, *on its face*, is not limited to agents of entities who are parties to the bill of lading. Respondents' definition unilaterally imposes joint and several liability upon "...*anyone acting on behalf of [the shipper, consignee, beneficial cargo owner, etc.], including but not limited to agents, servants, independent contractors, non-vessel operating common carriers ("NVOCCs"), and freight forwarders.*" Allegation No. 24. Their definition begs the question: an independent contractor can jointly and severally be liable for all freight and surcharges as the Merchant? By and through its *unilaterally* imposed definition of a Merchant,

[Respondents] subject third parties to liability under its bill of lading to which the third party is not a party and to which the third party has not consented to be bound.

For the purpose of the Respondents' MTD, "the facts alleged are taken as true and all reasonable inferences are drawn in the complainant's favor." MAVL Capital, 2020 FMC LEXIS 216 at *6. Assuming the facts as alleged are true and all reasonable inferences are drawn in favor of BOE, Respondents' have failed to meet their burden.

Greatway is not liable for the charges at issue. As alleged in the OIH, Greatway was not identified on one of the two bills of lading at issue and on the other, Greatway was identified only as the notify party. Allegation Nos. 14,15. Greatway was not identified as the shipper or consignee on the bills of lading and had no interest in the cargo as the shipper, consignee or beneficial cargo owner. Allegation Nos. 13, 16, and 17. Respondents demanded payment for the charges at issue. Allegation No. 21. Respondents "[unjustly and] unreasonably defined and applied its definition of a merchant to demand payment from Greatway, when Greatway was not in privity of contract with [Respondents], did not have a beneficial interest in the cargo moved, and did not assent to be bound to [Respondents'] BOL Terms and Conditions or to be liable for payment of any charges due to [Respondents]." Allegation No. 26.

The Second Circuit Court of Appeals "has reaffirmed the common law principle that a party is not bound to the terms of a bill of lading unless the party consents to be bound." *In re M/V Rickmers Genoa Litigation*, 622 F.Supp.2d 56, 71, (United States District Court, S.D. New York 2009), citing *Stein Hall & Co. v. S.S. Concordia Viking*, 494 F.2d 287, 291 (2d Cir.1974). Courts have repeatedly and recently held that status on a bill of lading as a notify party cannot alone subject a party to liability unless it consents to be bound by the terms of the contract. *Zim American Integrated Shipping Services Co., LLC v. Sportswear Group, LLC*, 2021 U.S. Dist.

LEXIS 223441(S.D.N.Y. 2021) (mere status as a Merchant under the bills of lading cannot alone manifest acceptance of the terms of the bills of lading as [the carrier] “**cannot unilaterally employ definitions to bind**” [a party] to “provisions to which [it] has not consented to be bound.”) (*emphasis added*). *Id.* at 13, citing *In re M/V Rickmers Genoa Litig.*, 622 F. Supp. 2d at 71. *In re M/V Rickmers Genoa Litigation* held that although the buyer of the goods “likely falls within the scope of [the] Merchant Clauses” of the two bills of lading, there was no evidence that [the defendant] “consented to be bound by either bill of lading.” *In re M/V Rickmers Genoa Litig.*, 622 F. Supp. 2d at 72. *See also United States v. Waterman S.S. Corp.*, 471 F.2d 186, 189 n. 4 (5th Cir. 1973). Here, Greatway acted in a limited capacity to facilitate delivery of the cargo and customs clearance on behalf of a disclosed principal, PLR, who was the consignee. Allegation 19. Greatway did not exercise control over the shipments and never consented to be bound by the terms of Respondents’ bill of lading.

Respondents argue that it is not unreasonable to impose liability on an agent even if the principle is disclosed. MTD at 14. Imposing liability upon Greatway based on the tenuous connection that Greatway had with the cargo on behalf of a disclosed principal is categorically unjust and unreasonable. While “Greatway acted in a limited capacity on behalf of a disclosed principal, PLR” (Allegation No. 19), its actions are distinguishable from those taken by the parties in each of the cases cited by Respondents. Greatway did not engage or negotiate with Respondents for their services on behalf of PLR or itself; did not exhibit ownership or exercise control of the cargo in its own name; and it did not present a bill of lading seeking to obtain the cargo. Greatway’s limited role and authority was to find a customs broker to clear the cargo and it did so on behalf of a disclosed principal.

Respondents cite three cases to argue that an agent of a shipper or consignee may be held liable as the merchant. MTD at 14. None of the cases cited support a finding that Greatway should be liable as an agent of PLR, a disclosed principal and the consignee. Respondents cite *Zim American Integrated Shipping Services Co., LLC v. Sportswear Group, LLC*, 2021 U.S. Dist. LEXIS 223441 (S.D.N.Y. 2021) for the proposition that the defendant could be liable if it were shown to be an agent for the consignee. In *Zim*, however, the court found that a notify party, without more, could not be held liable as the merchant and found that there were no allegations that the defendant was an agent. *Id.* The Court dismissed the action because the defendant's mere identification on the bill of lading as the notify party could not ascribe its consent to be bound by the terms of the bill of lading under the definition of a merchant. *Zim* stands for the proposition that identification as the notify party cannot subject an entity to liability under the merchant clause. Next, in citing to *Mediterranean Shipping Co. USA Inc. v. AA Cargo Inc.*, 46 F. Supp. 3d 294 (S.D.N.Y. 2014), Respondents claim that an "agent of the shipper" was found liable, which is misleading for two reasons. It is misleading to assert that *Mediterranean Shipping* holds that "an agent of the shipper" was found liable for transportation charges because the court never ruled on whether AA Cargo was an agent. AA Cargo raised an agency argument, but the court found it immaterial. Second, unlike Greatway, who did not contract with Respondents for their services, AA Cargo directly sought MSC's ocean transportation services by booking four shipments. Finally, Respondents cite *A.P. Moller-Maersk A/S v. Safewater Lines Pvt, LTD.*, 276 F. Supp. 3d 700 (S.D. Tex. 2017).⁵ *A.P. Moller-Maersk* is similarly inapposite to the facts of the matter before the Court. *A.P. Moller-Maersk* imposed liability upon an agent who is identified on the bill of

⁵ After citing to Safewater, Respondents add a foot note (MTD at 14, fn. 9) claiming, without citing a source, that "BOE has expressly stated that it accepts the premise that an ocean common carrier may sometimes hold a non-party to the bill of lading responsible for payment." BOE does not concede either such premise or that it is relevant to the facts of the matter before this Court.

lading as the consignee and whose principal is undisclosed. The court noted that “[a]s a matter of law [the carrier] has no obligation to discover the identity of an undisclosed principal. *A.P. Moller-Maersk A/S* at 716, citing *Orient Mid–East Lines v. Albert E. Bowen, Inc.*, 458 F.2d 572, 576 (2d Cir. 1972). Here, Greatway never acted or appeared on the bills of lading in its own name or with an undisclosed principal. Neither *A.P. Moller-Maersk A/S* nor any of the cases cited by Respondents can be applied to the facts of this case.

Greatway’s role in the matter before the Presiding Officer can in no way be compared or analogized to that of a vessel agent. In *West Gulf Maritime Association v. Port of Houston Authority*, the Commission stated that prior course of conduct, normal business practices, and continuing and voluntary use of the facility is the best justification under agency law to find the vessel agents liable for wharfage charges. See 21 F.M.C. 244, 250 (1978), *aff’d* without opinion sub nom. *West Gulf Maritime Ass’n. v. FMC*, 610 F.2d 1001 (D.C. Cir. 79), cert. denied, 449 U.S. 822 (1980). Furthermore, the Commission held that the level of interaction between the parties was sufficient to indicate that the vessel agents had “separately agreed to be liable.” *Id.* Greatway’s role in this matter is far from the level of interaction between a vessel agent in *West Gulf Marine* and that of a port (agent). Respondents’ reliance on this case is misplaced and does not support their argument that imposing liability against Greatway was reasonable.

Respondents then cite to three cases in support of their argument that an agent’s control over a shipment can subject the agent to liability as the shipper. *Pacific Coast Fruit Distributors, Inc. v. Pennsylvania R.R. Co.*, 217 F.2d 273, 275 (9th Cir. 1954); *Petition of NCBFAA*, 28 SRR 1042, 1048-1052 (FMC 1999); and *A.P. Moller-Maersk A/S v. Safewater Lines Pvt, LTD.*, 276 F. Supp. 3d 700 (S.D. Tex. 2017). All three cases are inapposite to the alleged facts in this case; two of which contemplate a far greater level of control over the cargo than Greatway exhibited to

Respondents and the third imposes liability upon an agent with an undisclosed principal who is identified on the bill of lading as the consignee.⁶ In *Pacific Coast Fruit*, the court found that where consignor “had consigned [the] goods to himself and selling agent of shipper was thereafter substituted as consignee, and agent assumed control of shipment by re-consigning it to other consignees and destinations, such agent [therefore] accepted status of both consignee and consignor and was [therefore] liable for freight charges.” 217 F.2d at 275. In the matter before the Presiding Officer, Greatway was not the consignor, consignee, nor assumed control by re-consigning or rerouting the cargo. In *Petition of NCBFAA*, the Commission addressed circumstances in which a freight forwarder “exercises control over the movement of its principal's cargo and whether [the forwarder] has a direct or indirect beneficial interest in that cargo.” If so, the Commission commented, then that forwarder may be considered a shipper though it would no longer be entitled to receive freight forwarder compensation. *Petition of NCBFAA*, 28 SRR at 1048-1051. Here, Greatway was not acting as a freight forwarder and did not exhibit control over the cargo, *e.g.* by selecting the carrier, route, destination, etc. Greatway was identified on only one of the two bills of lading as the notify party and not on the other. Greatway was not identified as the freight forwarder on either bill of lading and Greatway never effected control over the cargo. Finally, and as discussed above, *A.P. Moller-Maersk* involved an agent identified on the bill of lading as the consignee in its own name with an undisclosed principle. *A.P. Moller-Maersk A/S* simply cannot be applied to the facts of this case. *Id.* at 716.

⁶ BOE is aware of no case law precedence whereby a notify party is subjected to liability under the Merchant clause without such party also being identified as the consignee.

CONCLUSION AND REQUEST FOR RELIEF

BOE submits that the OIH fully meets the standards set forth by *Bell Atlantic Corp. v. Twombly*, 550 U.S. at 570; *Ashcroft v. Iqbal*, 556 U.S. 662, 677 (2009) and *Twombly*, 550 U.S. at 555, and therefore should be denied. BOE further submits that based on the facts alleged, it will be shown that Respondent's definition of a merchant is unjust and unreasonable on its face and unjust and unreasonable as applied to Greatway in violation of 46 U.S.C. § 41102(c), as interpreted by 46 C.F.R. § 545.4(d).

For the foregoing reasons:

- (i) BOE respectfully requests that ONE NA's motion to dismiss for lack of jurisdiction be denied; and
- (ii) BOE respectfully requests that Respondent's motion to dismiss for failure to state a claim be denied.

Respectfully submitted,



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February 14, 2022

Certificate of Service

I hereby certify that on this 14th day of February, 2022, the BUREAU OF ENFORCEMENT'S RESPONSE TO RESPONDENTS' MOTION TO DISMISS has been served upon counsel for the Respondents by electronic mail to Eric Jeffrey at EJeffrey@jeffreyfenneman.com and Rebecca Fenneman at rfenneman@jeffreyfenneman.com.

Signed in Washington D.C. on February 14, 2022



Cory R. Cinque
Bureau of Enforcement
Federal Maritime Commission

ATTACHMENT 1

**IN THE UNITED STATES DISTRICT COURT
FOR THE SOUTHERN DISTRICT OF TEXAS
HOUSTON DIVISION**

**OCEAN NETWORK EXPRESS §
(NORTH AMERICA) INC. AND §
OCEAN NETWORK EXPRESS PTE. LTD. §**

Plaintiffs §

V. §

C.A. NO. 4:20-cv-1734

**§
PACIFIC LUMBER RESOURCES, INC., §
SOUTH SERVICE TRADING S.A., §
GREATWAY LOGISTICS GROUP, LLC, §
EVOLUTION COMERCIAL EXPORTADORA §
LTDA., AGL TRANSPORTES §
INTERNACIONAIS LTDA-EPP, AND AGL §
CARGO LLC §**

Defendants

PLAINTIFFS' ORIGINAL COMPLAINT

TO THE HONORABLE JUDGE OF SAID COURT:

COME NOW Plaintiffs, Ocean Network Express (North America) Inc. and Ocean Network Express Pte. Ltd. (collectively "Plaintiffs" and/or "ONE"), and file this Original Complaint for damages against Pacific Lumber Resources, Inc., South Service Trading S.A., Greatway Logistics Group, LLC, Evolution Comercial Exportadora Ltda., AGL Transportes Internacionais Ltda-EPP, and AGL Cargo LLC (collectively "Defendants"). Plaintiffs respectfully aver as follows:

**I.
JURISDICTION AND VENUE**

1. This Court has jurisdiction over the subject matter of this action pursuant to 28 U.S.C. §1331 and §1333. This is an admiralty and maritime claim within the meaning of Rule 9(h)

of the Federal Rules of Civil Procedure, and the United States Carriage of Goods by Sea Act, (46 U.S.C. §30701 et. seq.), applies.

2. Venue is proper under 28 U.S.C. § 1391 as a substantial part of the events or omissions giving rise to this claim occurred within this judicial district. Further, clause 25.2 of the bills of lading at issue provide ONE the option of bringing an action to enforce any provisions in the bills of lading in any court of competent jurisdiction.

II. **PARTIES**

3. Plaintiff, Ocean Network Express (North America) Inc., is a foreign corporation organized under the laws of Virginia with its principal office located in Richmond, Virginia.

4. Plaintiff, Ocean Network Express Pte. Ltd., is a foreign business entity based in Singapore.

5. Defendant, Pacific Lumber Resources, Inc., (“Pacific Lumber”), is a foreign corporation incorporated under the laws of Oregon with a principal place of business in Lake Oswego, Oregon. Pacific Lumber does not maintain a registered agent in Texas, and upon information and belief, Pacific Lumber does not maintain a regular place of business in Texas. Upon information and belief, Pacific Lumber regularly conducts business in Texas, and Pacific Lumber may be served through the Texas Secretary of State, as it is the agent for service on the non-resident defendant and because the lawsuit arises from the non-resident defendant’s business activities in Texas. Alternatively, Pacific Lumber may be served by any other means permissible by the Federal Rules of Civil Procedure.

6. Defendant, South Service Trading S.A. (“South Service”), is a foreign business entity with a principal place of business in Brazil. South Service does not maintain a regular place

of business in Texas, and upon information and belief, South Service does not maintain a regular place of business in Texas. Upon information and belief, South Service regularly conducts business in Texas, and South Service may be served through the Texas Secretary of State, as it is the agent for service on the non-resident defendant and because the lawsuit arises from the non-resident defendant's business in Texas. Alternatively, South Service may be served through any other means permitted by law including the Inter-American Service Convention and Additional Protocol and/or the Hague Convention at its principal office at Rodovia BR 101, N. 3136, Sala 04, Bairro Salseiro-Itajai -SC-, 88318-100, Brazil.

7. Defendant, Greatway Logistics Group, LLC, ("Greatway"), is a foreign limited liability company organized under the laws of Florida. Greatway does not maintain a registered agent in Texas, and upon information and belief, Greatway does not maintain a regular place of business in Texas. Upon information and belief, Greatway regularly conducts business in Texas, and Greatway may be served through the Texas Secretary of State, as it is the agent for service on the non-resident defendant and because the lawsuit arises from the non-resident defendant's business in Texas. Alternatively, Greatway may be served by any other means permissible by the Federal Rules of Civil Procedure.

8. Defendant, Evolution Commercial Exportadora Ltda. ("Evolution"), is a foreign business entity with a principal place of business in Brazil. Evolution does not maintain a registered agent in Texas, and upon information and belief, Evolution does not maintain a regular place of business in Texas. Upon information and belief, Evolution regularly conducts business in Texas, and Evolution may be served through the Texas Secretary of State, as it is the agent for service on the non-resident defendant and because the lawsuit arises from the non-resident defendant's business in Texas. Alternatively, Evolution may be served through any other means permitted by

law including the Inter-American Service Convention and Additional Protocol and/or the Hague Convention at its principal office at Rua Wolfgang Ammon, 87-4 Andar Sala 44, Edificio Milano-Centro, 89280-169 Sao Bento Do Sul, Brazil.

9. Defendant, AGL Transportes Internacionais Ltda-EPP (“AGL Transportes”), is a foreign business entity with a principal place of business in Brazil. AGL Transportes does not maintain a registered agent in Texas, and upon information and belief, AGL Transportes does not maintain a regular place of business in Texas. Upon information and belief, AGL Transportes regularly conducts business in Texas, and AGL Transportes may be served through the Texas Secretary of State, as it is the agent for service on the non-resident defendant and because the lawsuit arises from the non-resident defendant’s business in Texas. Alternatively, AGL Transportes may be served through any other means permitted by law including the Inter-American Service Convention and Additional Protocol and/or the Hague Convention at its principal office at Villa A, Suite 62, Villa Leopoldina, Av Queiros Filho, 1700, Sao Paolo, Brazil.

10. Defendant, AGL Cargo LLC, (“AGL Cargo”), is a foreign limited liability company organized under the law of Florida. AGL Cargo does not maintain a registered agent in Texas, and upon information and belief, AGL Cargo does not maintain a regular place of business in Texas. Upon information and belief, AGL Cargo regularly conducts business in Texas, and AGL Cargo may be served through the Texas Secretary of State, as it is the agent for service on the non-resident defendant and because the lawsuit arises from the non-resident defendant’s business activities in Texas. Alternatively, AGL Cargo may be served by any other means permissible by the Federal Rules of Civil Procedure.

III. **FACTS**

A. The Shipments and Unpaid Charges

11. This claim is for unpaid charges owed by the Defendants to Plaintiffs. The unpaid charges arise under two bills of lading for two shipments of pine plywood.

12. In October 2018, Plaintiffs transported two shipments of pine plywood from Brazil to the Port of Houston, Texas. The first shipment was transported under ONE's Bill of Lading No: ONEYSAOU24000400.¹ The second shipment was transported under ONE's Bill of Lading No: ONEYSAOU24596300.² Pacific Lumber was the consignee on each shipment.

13. Both shipments arrived safely at Barbours Cut Terminal in the Port of Houston from their respective voyages on November 6, 2018 and November 15, 2018.

14. Prior to arrival, Defendants worked with U.S. Customs to pay all import duties and to obtain clearance for the shipments from U.S. Customs. On November 2, 2018, U.S. Customs cleared the cargo containers shipped under Bill of Lading No. ONEYSAOU24000400. On November 7, 2018, U.S. Customs cleared the cargo containers shipped under Bill of Lading No. ONEYSAOU24596300. The containers then sat at the Port of Houston awaiting pick up.

15. Although the cargo had been cleared by U.S. Customs for pick up, there was a commercial dispute between Pacific Lumber, South Service, Evolution, AGL Transportes, and/or AGL Cargo which delayed the retrieval of the cargo by Pacific Lumber at the Port of Houston. Upon information and belief, Pacific Lumber ultimately resolved its differences with South Service, Evolution, AGL Transportes and/or AGL Cargo privately. However, Pacific Lumber did not pick up the cargo until late January 2019.

¹ See Exhibit 1.

² See Exhibit 2.

16. While Pacific Lumber, South Service, Evolution, AGL Transportes and/or AGL Cargo worked through their commercial dispute, the cargo remained stored in the Port of Houston, accruing freight/demurrage/storage charges payable under the terms and conditions of the bills of lading. Further, as is the local practice, the Port of Houston invoiced the carrier, ONE, for the Port of Houston's demurrage/storage charges. ONE paid these charges.

17. ONE also promptly invoiced Pacific Lumber for the Port's and ONE's customary freight/demurrage/storage charges on January 25, 2019 and January 28, 2019.³ Pacific Lumber has wrongfully refused, and continues to refuse, to pay the charges. South Service, Evolution, AGL Transportes, and AGL Cargo have also wrongfully refused, and continue to refuse, to pay the charges.

B. Terms and Conditions of the Bills of Lading

18. Bills of Lading Nos. ONEYSAOU24000400 and ONEYSAOU24596300 constitute the contracts of carriage for the shipments at issue. The bills of lading include terms and conditions that clearly establish that Defendants are jointly and severally liable for and must pay the charges at issue. Specifically, the bills of lading state, in pertinent part:

Delivery of the Goods to the Carrier for Carriage hereunder constitutes acceptance by the Merchant (as defined hereinafter) (i) of all the terms and conditions, whether printed, stamped or otherwise incorporated on this side and on the reverse side of this Bill of lading and the terms and conditions of the Carrier's applicable tariff(s) as if they were all signed by the Merchant[.]

1. Definitions and Tariff

1.1. Definitions

³ See Invoices attached hereto as Exhibits 3 and 4.

“Carrier” means Ocean Network Express Pte Ltd on whose behalf this Bill has been signed;

“Freight” includes all charges payable to the Carrier in accordance with the applicable Tariff(s) and this Bill, including storage, demurrage and detention;

“Merchant” includes the Shipper, Consignee, owner, Person owning or entitled to possession of the Goods or of this Bill, Receiver, Holder, and anyone acting on behalf of any such person, including but not limited to agents, servants, independent contractors, non-vessel operating common carriers (“NVOCCs”), and freight forwarders;

1.2 Carrier’s Tariff

The terms of the Carrier’s applicable Tariff(s) (“Tariff”) are incorporated herein. The Merchant’s attention is drawn to clause 6 hereof. Copies of the relevant provisions of the Tariff(s) are obtainable from the Carrier upon request. In the case of inconsistency between this Bill and any applicable Tariff, this Bill shall prevail.

2. Terms and Conditions

2.1 The terms and conditions provided for in this Bill shall apply in any action by or against the Carrier for any loss or damage whatsoever and howsoever occurring (and without restricting the generality of the foregoing, including delay, late delivery and/or delivery without surrender of this Bill), whether the action be founded in contract, bailment or in tort.

2.3 The terms and conditions of this Bill shall govern the relations between the Carrier and the Merchant in respect of the Carriage, whether a Bill of Lading is issued or not.

6. Freight

6.1 Freight shall be deemed fully earned on receipt of the Goods by the Carrier...and shall be paid and non-returnable in any event...

6.5 The Merchant shall be liable to the Carrier for the payment of all Freight and/or expenses including but not limited to court costs, legal fees and expenses incurred in collecting monies due to the Carrier....

13. Merchant's Responsibility

13.1 All of the Persons coming within the definition of Merchant in Clause 1.1 shall be jointly and severally liable to the Carrier for the due fulfillment of all obligations of the Merchant in this Bill.

13.2 The Merchant shall comply with all statutes, ordinances, regulations or requirements of customs, port, and any other authorities relative to the Goods, documentation and any other matters affecting or in any way relating thereto, and shall bear and pay all duties, taxes, fines, imposts, expenses or losses incurred or suffered due to any failure to so comply, or due to any illegal, incorrect or insufficient marking, numbering or addressing of the Goods, and shall indemnify the Carrier in respect thereof.

13.3 The Merchant shall indemnify, defend and hold the Carrier harmless from all consequences of any:

(a) failure by the Merchant to comply with any provision of this Bill, the Carrier's applicable Tariff(s), and/or any applicable circulars or contracts, laws or regulations, and/or

(b) breach of any of the Merchant's representations or warranties of undertakings herein.

13.4 The Merchant's obligation to so indemnify, defend and hold harmless shall include reimbursement of all expenses or amounts spent or incurred, including legal fees and expenses, penalties or liabilities imposed, or loss of profit, directly or indirectly arising from or in connection with such failure or breach and shall not be defeated or reduced by any negligence on the part of or attributable to the Carrier.

21. Notification and Delivery

21.1 Any mention in this bill of parties to be notified of the arrival of the Goods is solely for information of the Carrier, and failure to give such notification shall not

involve the Carrier in any liability nor relieve the Merchant of any obligation hereunder.

21.2 The Merchant shall take delivery of the Goods within the free storage time provided for in the Carrier's applicable Tariff(s) or otherwise. If the Merchant fails to do so, without prejudice to any other rights of the Carrier hereunder, the Carrier may without notice unload the Goods or part thereof from the Vessel or the Container and/or store the Goods or part thereof ashore, afloat, in the open or under cover at the sole risk of the Merchant. Such storage shall constitute due delivery hereunder, and thereupon all liability whatsoever of the Carrier in respect of the Goods or part thereof shall cease, and the costs of such unloading or storage (if paid or payable by the Carrier or any agent or Sub-Contractor of the Carrier) shall immediately on demand be paid by the Merchant to the Carrier.

19. Each of the Defendants falls within the term "Merchant" as defined by the terms and conditions in the relevant bills of lading. Specifically, the Defendants meet the definition of Merchant and are liable to ONE for its claims herein as follows:

- a. Pacific Lumber is listed on both bills of lading as the consignee for both shipments at issue. Accordingly, Pacific Lumber is jointly and severally liable with all of the other Defendants for all unpaid charges at issue, which charges total \$211,875.00;
- b. AGL Transportes and/or AGL Cargo were the agents/servants acting on behalf of the shippers with respect to both cargo shipments. Accordingly, AGL Transportes and/or AGL Cargo is/are jointly and severally liable with all of the other Defendants for all unpaid charges at issue, which charges total \$211,875.00;
- c. South Service is listed on Bill of Lading No. ONESAOU24000400 as the shipper. Accordingly, South Service is jointly and severally liable with Pacific Lumber, AGL Transportes, AGL Cargo, and Greatway for all unpaid charges at issue relating to this shipment, which charges total \$112,925.00;
- d. Greatway is listed on Bill of Lading No. ONESAOU24000400 as the "Notify Party", which is upon information and belief an agent, servant, or independent contractor of Pacific Lumber and/or South Service. Accordingly, Greatway is jointly and severally liable with Pacific Lumber, AGL Transportes, AGL Cargo, and South Service for all unpaid charges at issue relating to this shipment, which charges total \$112,925.00; and
- e. Evolution is listed on Bill of Lading No. ONESAOU24596300 as the shipper. Accordingly, Evolution is jointly and severally liable with Pacific Lumber, AGL Transportes, and AGL Cargo for all unpaid charges at issue relating to this shipment, which charges total \$98,950.00.

IV.

CAUSE OF ACTION: BREACH OF CONTRACT BY ALL DEFENDANTS

20. Plaintiffs and Defendants are Parties to maritime contracts of carriage, contained in Bill of Lading No. ONESAOU24000400 and Bill of Lading No. ONESAOU24596300. Pursuant to Clauses 6, 13, and 21 of the bill of lading terms and conditions, the “Merchant” is responsible for the payment of freight/demurrage/storage costs, and shall be liable for and/or indemnify and/or hold harmless the Plaintiffs against such costs. Plaintiffs are innocent parties who dutifully delivered the cargoes of containers and fully performed all of their contractual obligations. However, freight/demurrage/storage costs were allowed to accrue by Defendants because of their commercial dispute related to the shipments of the cargo under the bills of lading. Defendants’ refusal to pay Plaintiffs \$211,875.00 for the accrued freight/demurrage/storage costs is a breach of their contractual obligations, which has damaged Plaintiffs.

V.

DAMAGES

21. As a direct result of Defendants’ breaches of the contracts, Plaintiffs have been damaged in the principal amount of \$211,875 dollars. Plaintiffs have also incurred legal fees and costs in their effort to enforce the contractual obligations contained in the bills of lading. In addition to these damages, legal fees, and costs, Plaintiffs seek recovery from Defendants of all pre- and post-judgment interest and costs of court.

VI.

PRAYER

WHEREFORE, premises considered, Plaintiffs, Ocean Network Express (North America) Inc. and Ocean Network Express Pte.. Ltd., ask that judgment be entered in their favor and against Defendants, Pacific Lumber Resources, Inc., South Service Trading S.A., Greatway Logistics

Group, LLC, Evolution Commercial Exportadora Ltda., AGL Transportes Internacionais Ltda-EPP, and AGL Cargo LLC, for Plaintiffs' damages, plus attorney fees, costs of court, and pre-judgment and post-judgment interest. Plaintiffs further pray for all other such relief to which they may be entitled at law or in equity.

Respectfully submitted,

/s/ Ivan M. Rodriguez

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andy.nash@phelps.com

**ATTORNEYS FOR PLAINTIFFS
OCEAN NETWORK EXPRESS
(NORTH AMERICA) INC. AND
OCEAN NETWORK EXPRESS PTE.
LTD.**

OF COUNSEL: PHELPS DUNBAR LLP

EXHIBIT 1



COPY NON NEGOTIABLE

PAGE: 1 OF 2

BILL OF LADING

SHIPPER/EXPORTER SOUTH SERVICE TRADING S/A RODOVIA BR 101, N. 3136, SALA 04 BAIRRO SALSEIRO-ITAJAI - SC - BRASIL - CEP 88.318-100		BOOKING NO. SAOU24000400	BILL OF LADING NO. ONEYSAOU24000400
		EXPORT REFERENCES (for the Merchant's and/or Carrier's reference only. See back clause 8 (4).)	
CONSIGNEE PACIFIC LUMBER RESOURCES INC 1159 MCVEY AVE, LAKE OSWEGO, OR 97034 - USA TEL: +1 503-675-0040		FORWARDING AGENT-REFERENCES FMC NO.	
NOTIFY PARTY (It is agreed that no responsibility shall be attached to the Carrier or its Agents for failure to notify) GREATWAY LOGISTICS GROUP LLC PO BOX 228104 MIAMI, FL 33222 - USA +1 908-305-2468 RICK@GREATWAYLOGISTICSGROUP.COM		RECEIVED by the Carrier in apparent good order and condition (unless otherwise stated herein) the total number or quantity of Containers or other packages or units indicated in the box entitled "Carrier's Receipt", to be carried subject to all the terms and conditions hereof from the Place of Receipt or Port of Loading to the Port of Discharge or Place of Delivery, as applicable. Delivery of the Goods to the Carrier for Carriage hereunder constitutes acceptance by the Merchant (as defined hereinafter) (i) of all the terms and conditions, whether printed, stamped or otherwise incorporated on this side and on the reverse side of this Bill of Lading and the terms and conditions of the Carrier's applicable tariff(s) as if they were all signed by the Merchant, and (ii) that any prior representations and/or agreements for or in connection with Carriage of the Goods are superseded by this Bill of Lading. If this is a negotiable (To Order/To Order of) Bill of Lading, one original Bill of Lading, duly endorsed must be surrendered by the Merchant to the Carrier (together with any outstanding Freight) in exchange for the Goods or a Delivery Order or the pin codes for any applicable Electronic Release System. If this is a non-negotiable (straight) Bill of Lading, or where issued as a Sea Waybill, the Carrier shall deliver the Goods or issue a Delivery Order or the pin codes for any applicable Electronic Release System (after payment of outstanding Freight) to the named consignee against the surrender of one original Bill of Lading, or in the case of a Sea Waybill, on production of such reasonable proof of identity as may be required by the Carrier, or in accordance with the national law at the Port of Discharge or Place of Delivery as applicable. IN WITNESS WHEREOF the Carrier or their Agent has signed the number of Bills of Lading stated at the top, all of this tenor and date, and whenever one original Bill of Lading has been surrendered all other Bills of Lading shall be void.	
PRE-CARRIAGE BY	PLACE OF RECEIPT NAVEGANTES	FINAL DESTINATION (for the Merchant's reference only)	
OCEAN VESSEL VOYAGE NO. FLAG PALENA 1836N	PORT OF LOADING NAVEGANTES, SC / BRAZIL	TYPE OF MOVEMENT (IF MIXED, USE DESCRIPTION OF PACKAGES AND GOODS FIELD) CY / CY	
PORT OF DISCHARGE HOUSTON	PLACE OF DELIVERY HOUSTON		

(CHECK "HM" COLUMN IF HAZARDOUS MATERIAL) PARTICULARS DECLARED BY SHIPPER BUT NOT ACKNOWLEDGED BY THE CARRIER

CNTR. NOS. W/SEAL NOS. MARKS & NUMBERS	QUANTITY (FOR CUSTOMS DECLARATION ONLY)	HM	DESCRIPTION OF GOODS	GROSS WEIGHT	GROSS MEASUREMENT
BEAU4593133 / EC3A314825	/	/	19 BUNDLES //40HQ/26500.00	00KGS/50.903M3	
BSIU9791698 / EC3A314823	/	/	19 BUNDLES //40HQ/26500.00	00KGS/50.903M3	
TGCU0012443 / EC3A314832	/	/	19 BUNDLES //40HQ/26500.00	00KGS/50.903M3	
TLLU4374520 / EC3A314837	/	/	19 BUNDLES //40HQ/26500.00	00KGS/50.903M3	
KKFU8131010 / EC3A314822	/	/	19 BUNDLES //40HQ/26500.00	00KGS/50.903M3	
MADE IN BRAZIL BAP18675	95 BUNDLES		95 BUNDLES CONTAINING 05X40' HC CONTAINER SAID TO CONTAIN 95 BUNDLES CONTAINING ELLIOTIS PINE PLYWOOD PER ORDER BAP-18675, AS FOLLOWS: CDX TPI 1,22 X 2,44 18MM	132500.000KGS	254.515CBM

** TO BE CONTINUED ON ATTACHED LIST **

Declared Cargo Value US \$. If Merchant enters a value, Carrier's limitation of liability shall not apply and the ad valorem rate will be charged.

FREIGHT & CHARGES PAYABLE AT / BY: RICHMOND, VA SECAUCUS, NJ			SERVICE CONTRACT NO. SAO18T0292	DOC FORM NO.	COMMODITY CODE	EXCHANGE RATE	[1] ORIGINAL BILLS(S) OF LADING HAVE BEEN SIGNED, WHERE DELIVERED AGAINST ONE, THE OTHERS(S) TO BE VOID.
CODE	TARIFF ITEM	FREIGHTED AS	RATE	PREPAID	COLLECT		DATE CARGO RECEIVED
OCEAN FREIGHT 1		5/40HQ	1400.00	USD 7000.00		USD/1.000000	
BAF BUNKER		5.000	160.00	USD 800.00		USD/1.000000	
THL TERMINAL		5.000	760.00	BRL 3800.00		BRL/1.000000	
TSL TERMINAL		5.000	18.00	USD 90.00		BRL/4.115350	
TSD TERMINAL		5.000	5.00		USD 25.00	USD/1.000000	DATE LADEN ON BOARD 13 OCT 2018 AF
CSS CARRIER		5.000	15.00	USD 75.00		USD/1.000000	PLACE OF BILL(S) ISSUE SAO PAULO
SLF SEAL FEE		5.000	22.00	BRL 110.00		BRL/1.000000	DATED 13 OCT 2018
XDO DOC FEE		1.000	350.00	BRL 350.00		BRL/1.000000	
TOTAL				BRL 4260.00	USD 25.00	SIGNED BY OCEAN NETWORK EXPRESS SAO PAULO	
				USD 7965.00			as agent for and on behalf of

The printed terms and conditions on this Bill are available at its website at www.one-line.com

TOTAL PREPAID IN PAYMENT CURRENCY USD 7875.00 RICHMOND, VA
BRL 4630.38 SAO PAULOEXHIBIT
1Ocean Network Express Pte. Ltd.
(ONE), AS CARRIER

BOE 00012

COPY NON NEGOTIABLE

VESSEL VOYAGE: PALENA 1836N

B/L NO.: ONEYSAOU24000400

CNTR NOS. W/SEAL NOS. MARKS & NUMBERS	QUANTITY (FOR CUSTOMS DECLARATION ONLY)	H M	DESCRIPTION OF GOODS	GROSS WEIGHT	MEASUREMENT
			INVOICE: 384096 NCM: 4412.99.00 HS CODE: 4412.39 DU-E: 18BR0006387372 RUC: 8BR93101632100000000000000000 0447251 NET WEIGHT: 132.500,00KG 254,515M FREIGHT PREPAID ABROAD "WOODEN PACKAGE USED: PROCESSED" > CNPJ: 93.101.632/0003-94		
OCEAN FREIGHT PREPAID "SHIPPER'S DESIRE TO STATE THAT" "SHIPPER'S LOAD, STOW AND COUNT" DESTINATION CHARGES COLLECT PER LINE TARIFF AND OTHER CHARGES TO BE COLLECTED FROM THE PARTY WHO LAWFULLY DEMANDS DELIVERY OF THE CARGO WITHOUT PREJUDICE TO THE CARRIER'S RIGHTS AGAINST THE MERCHANT (SEE BACK CLAUSE 1) AS SET OUT AT BACK CLAUSE 13(1) SAID TO CONTAIN SHIPPER'S LOAD & COUNT SHIPPER'S STOW, LOAD, COUNT AND WEIGHT SUBJECT TO ALL THE TERMS AND CONDITIONS OF THE APPLICABLE TARIFF					

SIGNED BY: OCEAN NETWORK EXPRESS SAO PAULO

as agent for and on behalf of



 Ocean Network Express Pte. Ltd.
 (ONE), AS CARRIER

BOE 00013

OCEAN NETWORK EXPRESS

RECEIVED by the Carrier in apparent good order and condition (unless otherwise stated herein) the total number or quantity of Containers or other packages or units indicated in the box entitled "Carrier's Receipt", to be carried subject to all the terms and conditions hereof from the Place of Receipt or Port of Loading to the Port of Discharge or Place of Delivery, as applicable. Delivery of the Goods to the Carrier for Carriage hereunder constitutes acceptance by the Merchant (as defined hereinafter) (i) of all the terms and conditions, whether printed, stamped or otherwise incorporated on this side and on the reverse side of this Bill of Lading and the terms and conditions of the Carrier's applicable tariff(s) as if they were all signed by the Merchant, and (ii) that any prior representations and/or agreements for or in connection with Carriage of the Goods are superseded by this Bill of Lading. If this is a negotiable (To Order/of) Bill of Lading, one original Bill of Lading, duly endorsed must be surrendered by the Merchant to the Carrier (together with any outstanding Freight) in exchange for the Goods or a Delivery Order or the pin codes for any applicable Electronic Release System. If this is a non-negotiable (straight) Bill of Lading, or where issued as a Sea Waybill, the Carrier shall deliver the Goods or issue a Delivery Order or the pin codes for any applicable Electronic Release System (after payment of outstanding Freight) to the named consignee against the surrender of one original Bill of Lading, or in the case of a Sea Waybill, on production of such reasonable proof of identify as may be required by the Carrier, or in accordance with the national law at the Port of Discharge or Place of Delivery as applicable. IN WITNESS WHEREOF the Carrier or their Agent has signed the number of Bills of Lading stated at the top, all of this tenor and date, and whenever one original Bill of Lading has been surrendered all other Bills of Lading shall be void.

1. Definitions and Tariff

1.1 Definitions

"Bill" means this document, whether issued as a Bill of Lading or a Sea Waybill, and whether issued in paper or electronic form;

"Carriage" means the whole or any part of the operations and services whatsoever undertaken by the Carrier in respect of the Goods covered under this Bill;

"Carrier" means Ocean Network Express Pte Ltd on whose behalf this Bill has been signed;

"Container" includes any container (including an open top container), trailer, transportable tank, flat rack or pallet or any similar article used to consolidate Goods and any ancillary equipment;

"Freight" includes all charges payable to the Carrier in accordance with the applicable Tariff(s) and this Bill, including storage, demurrage and detention;

"Goods" means the whole or any part of the cargo and any packaging received from the Shipper and includes any equipment or Container not supplied by or on behalf of the Carrier;

"Hague Rules" means the provisions of the International Convention for the Unification of Certain Rules relating to Bills of Lading signed at Brussels on 25th August, 1924 and includes the amendments by the Protocols signed at Brussels in 1968, and 1979, but only if such amendments (hereinafter collectively called "the Visby Amendments") are compulsorily applicable to this Bill and nothing in this Bill shall be construed as contractually applying the Visby Amendments;

"Holder" means any person for the time being in possession of or entitled to this Bill by reason of the consignment of Goods or the endorsement of this Bill or otherwise;

"Merchant" includes the Shipper, Consignee, owner, Person owning or entitled to possession of the Goods or of this Bill, Receiver, Holder, and anyone acting on behalf of any such person, including but not limited to agents, servants, independent contractors, non-vessel operating common carriers ("NVOCCs"), and freight forwarders;

"Person" includes an individual, group, company or other entity;

"Place of Delivery" means a place so named overleaf or any other place where the Carrier has contracted to deliver the Goods when such place is other than the Port of Discharge;

"Place of Receipt" means a place so named overleaf or any other place where the Carrier has contracted to receive the Goods, when such place is other than the Port of Loading;

"Port of Loading" means a port or place so named overleaf or any other port or place where the Goods are loaded onto the Vessel for Carriage;

"Port of Discharge" means a port or place so named overleaf or any other port or place where the Goods are discharged from the Vessel;

"Sub-Contractor" includes owners, charterers and operators of the Vessel or any other vessel (other than the Carrier), sea, water, rail, road, air or other transport operators or carriers, stevedores, terminal operators, warehousemen, and any independent contractors or agents employed by the Carrier in performance of the Carriage and any subcontractor thereof;

"US COGSA" means the United States Carriage of Goods by Sea Act, 1936;

"Vessel" includes the vessel named on the face hereof, and any vessel, lighter, barge, ship, watercraft or any other means of water transport used in whole or in part for Carriage of Goods under this Bill;

"Verified Gross Mass" means the combined mass of a Container's tare mass and the masses of all packages and cargo items including but not limited to pallets, dunnage, other packing material and securing materials packed in the Container and verified by one of the methods of weighing specified in SOLAS Chapter VI Regulation 2.

"Waterborne Carriage" means carriage by sea or water, and includes the period during which the Goods are under the custody of the Carrier for the Carriage at the sea/water terminal of the Port of Loading or the Port of Discharge, whether or not on board the Vessel.

1.2 Carrier's Tariff

The terms of the Carrier's applicable Tariff(s) ("Tariff") are incorporated herein. The Merchant's attention is drawn to clause 6 hereof. Copies of the relevant provisions of the Tariff(s) are obtainable from the Carrier upon request. In the case of inconsistency between this Bill and any applicable Tariff, this Bill shall prevail.

2. Terms and Conditions

2.1 The terms and conditions provided for in this Bill shall apply in any action by or against the Carrier for any loss or damage whatsoever and howsoever occurring (and without restricting the generality of the foregoing, including delay, late delivery and/or delivery without surrender of this Bill), whether the action be founded in contract, bailment or in tort.

2.2 The terms and conditions of this Bill are separable, and if any term or condition is held to be invalid, null and void, or unenforceable, that shall not affect in any way the validity or enforceability of any other term or condition of this Bill.

2.3 The terms and conditions of this Bill shall govern the relations between the Carrier and the Merchant in respect of the Carriage, whether a Bill of Lading is issued or not.

2.4 If this Bill is accepted by a NVOCC, who has in turn made other contracts of carriage with third parties, the said NVOCC hereby:

(a) undertakes that no claim or allegation in respect of the Goods shall be made against the Carrier by any Person, other than in accordance with the terms and conditions hereof, which imposes or attempts to impose upon the Carrier or any vessel, owned or operated by the Carrier or employed in the Carriage, any liability whatsoever in connection with the Goods, whether or not arising out of negligence on the part of the Carrier, and if any such claim or allegation should nevertheless be made, to indemnify the Carrier against all consequences thereof (including legal fees, expert fees and disbursements), and

(b) warrants that all bills of lading or other documents recording the contracts of carriage issued by him in respect of the Goods shall effectively incorporate and bind his counterparties to the terms of this Bill including the law and jurisdiction clause, and agrees to defend, hold harmless and indemnify the Carrier, his servants, agents and Subcontractors against all consequences of his failing to do so.

2.5 In no event shall the Carrier be liable for any direct or indirect loss of profit or any consequential loss whatsoever.

2.6 Where loss or damage is caused partly by a cause for which the Carrier is liable, the Carrier shall be liable only for the portion of the loss or damage proved by the Merchant to have resulted from the cause for which the Carrier is liable. The Merchant shall indemnify the Carrier (including legal and expert fees and disbursements) when the Carrier pays damages in excess of its share of fault.

2.7 The Carrier does not undertake that the Goods shall arrive at the Port of Discharge or Place of Delivery on/at any particular date or time or to meet any particular market or use, and the Carrier shall in no circumstances be liable for delay or for any indirect or special or consequential loss or damage whatsoever incurred by the Merchant.

3. Carrier's Responsibility

3.1 The Carrier shall not be responsible for loss or damage to the Goods occurring before the receipt of the Goods by the Carrier or after the delivery of the Goods to the Merchant or its designee. The Carrier shall be liable for loss or damage to the Goods occurring between the time when he receives the Goods and the time of delivery only to the extent set out below.

3.2 Except for the shipment of Goods to, from or through the United States, including its districts, territories and possessions, which shall be governed by Clause 26 below, if the stage of the Carriage during which the loss or damage occurred can be proved, the liability of the Carrier shall be determined:

(a) if the loss or damage is proved to have occurred during the Waterborne Carriage, by the Hague Rules, Articles 1-8 inclusive, but excluding Article 1(e),

(b) where the loss or damage is proved not to have occurred during the Waterborne Carriage, by the provisions contained in any international convention or national law which provisions,

(i) cannot be departed from by private contract to the detriment of the Merchant; and

(ii) would have applied if the Merchant had made a separate and direct contract with the Carrier in respect of the stage of the Carriage during

which the loss or damage occurred and had received as evidence thereof any document which must be issued in order to make such international convention or national law applicable; and

(iii) would have been applicable if the contract referred to in (ii) above had been governed by the internal law of the State where the loss or damage occurred.

3.3 Except for the shipment of Goods to, from or through the United States, including its districts, territories and possessions, which shall be governed by Clause 26 below, if neither Clause 3.2(a) or 3.2(b) above applies, or if the stage of the Carriage during which the loss or damage occurred cannot be determined, the Carrier shall be relieved of liability for any loss or damage if such loss or damage was caused by:

- (i) act of God,
- (ii) act of War,
- (iii) act of public enemies,
- (iv) arrest or restraint of princes, rulers or people or seizure under legal process,
- (v) quarantine restrictions,
- (vi) an act or omission of the Merchant, his agent, representative or sub-contractor,
- (vii) compliance with instructions of any Person entitled to give them,
- (viii) insufficiency of or defective condition of packing or marking,
- (ix) handling, loading, stowage or unloading of the Goods by or on behalf of the Merchant,
- (x) inherent vice of the Goods,
- (xi) latent defects not discoverable by due diligence,
- (xii) fire, unless caused by the actual fault or privity of the Carrier,

- (xiii) strike, lock-out, stoppage or restraint of labour, from whatever cause, whether partial or general,
- (xiv) riots and civil commotions,
- (xv) any cause or event which the Carrier could not avoid and the consequences whereof he could not prevent by the exercise of reasonable diligence.

3.4 The burden of proving prima facie that the loss or damage was due to one or more of the causes or events specified in Clause 3.3 shall rest upon the Carrier, save that if the Carrier establishes that the loss or damage could be attributed to one or more of the causes or events specified in Clause 3.3 other than (vi), (vii), (viii), (ix), (x) or (xv), it shall be presumed that it was so caused. The Merchant shall, however, be entitled to prove that the loss or damage was not, in fact, caused either wholly or partly by one or more of these causes or events.

3.5 If the Carrier is requested by the Merchant to procure carriage by an inland carrier beyond the Place of Delivery (or the Port of Discharge if no Place of Delivery is named) such carriage shall be procured by the Carrier as agent only to the Merchant and the Carrier shall have no liability whatsoever for such carriage or the acts or omissions of such inland carrier.

3.6 Where this Bill is issued as a Sea Waybill, this Bill shall have effect subject to the CMI Uniform Rules for Sea Waybills which are deemed to be incorporated herein; provided, however that if any provisions of such Rules are inconsistent with those of this Bill, the latter shall prevail.

4. Limitation of Liability

4.1 Nothing in this Bill shall operate to limit or deprive the Carrier of any statutory protection or exemption or limitation of liability authorized by any applicable laws, statutes or regulations of any country.

4.2 It is agreed by the Merchant that the Carrier qualifies and shall be regarded as a person entitled to limit liability under any applicable convention for the Limitation of Liability for Maritime Claims notwithstanding that the Carrier may have secured space on board the relevant vessel by means of a slot charter, bill of lading, waybill or other contract of carriage. Subject to any

law compulsorily applicable to the Carriage to the contrary, and save to that extent, the fund to which the Carrier may limit its liability in respect of all claims arising out of an incident shall be that part or proportion of the limitation fund applicable to the actual carrier that is available for the Carrier's claims against the actual carrier.

4.3 If the Hague Rules are applicable by national law, the liability of the Carrier shall in no event exceed the limit provided in the applicable national law. If the Hague Rules are applicable otherwise than by national law, the liability of the Carrier shall in no event exceed 100 pounds sterling per package or unit.

4.4 Except as provided in Clauses 3.2(a), 3.2(b) and 27, if Clause 3.3 operates, total compensation shall in no circumstances exceed 2 SDRs per kilo of gross weight of the Goods lost or damaged (SDR means Special Drawing Right as defined by the International Monetary Fund).

4.5 The Merchant agrees and acknowledges that the Carrier has no knowledge of the value of the Goods and higher compensation than that provided for in this Bill may be claimed only when, with the consent of the Carrier, (i) for multimodal shipments to or from the U.S. where U.S. inland carriage is undertaken, the Merchant elects to avoid any liability limitation provided herein by prepaying extra freight and opting for full liability by complying with the terms in the Carrier's Tariff(s); and (ii) in all other cases, the Shipper declares the value of the Goods and requests that the Carrier insert the declared value of the Goods in the box marked "Declared Value" on the reverse of this Bill, and for which extra freight has been paid by the Merchant. In that case, the amount of the declared value shall be substituted for the limits laid down in this Bill. Any partial loss or damage shall be adjusted pro rata based on such declared value.

5. Sub-Contracting

5.1 The Carrier shall be entitled to subcontract the whole or any part of the Carriage on any terms whatsoever, including liberty to further subcontract.

5.2 The Merchant undertakes that no claim or allegation shall be made against any Person who performs or undertakes the Carriage (including all Sub Contractors) other than the Carrier, which imposes or attempts to

impose upon such Person, or any vessel owned by such Person, any liability whatsoever in connection with the Goods or the Carriage, whether or not arising out of negligence on the part of such Person and, if any such claim or allegation should nevertheless be made, to indemnify the Carrier against all consequences thereof.

5.3 Without prejudice to Clause 5.2 such Person (including any Subcontractor) shall have the benefit of every right, exemption from liability, defence and immunity of whatsoever nature applicable to the Carrier or to which the Carrier is entitled herein including but not limited to the right to enforce Clause 25 hereof, as if such provisions were expressly for his benefit. In entering into this contract, the Carrier, to the extent of these provisions, does so not only on his own behalf but also as agent and trustee for such Person.

5.4 The provisions of Clause 5.2, including but not limited to the undertakings of the Merchant contained therein, shall extend to claims or allegations of whatsoever nature against other Persons chartering space on the Vessel.

5.5 The Merchant further undertakes that no claim or allegation in respect of the Goods shall be made against the Carrier by any Person, other than in accordance with the terms and conditions of this Bill, which imposes or attempts to impose upon the Carrier any liability whatsoever in connection with the Goods or the Carriage, whether or not arising out of negligence on the part of the Carrier and, should any such claim or allegation nevertheless be made, to indemnify the Carrier against all consequences thereof.

6. Freight

6.1 Freight shall be deemed fully earned on receipt of the Goods by the Carrier, whether the Goods are lost or not, and shall be paid and non-returnable in any event.

6.2 The Merchant acknowledges and accepts the stipulations concerning currency in which the Freight is to be paid, rate of exchange, devaluation and other contingencies relative to Freight in the applicable Tariff(s).

6.3 Freight has been calculated based on particulars furnished by or on behalf of the Merchant. If such particulars are incorrect, it is agreed that a sum equal to double the correct Freight less the Freight charged shall be payable as liquidated damages to the Carrier, provided that the Carrier's Tariff(s) does not stipulate otherwise. The Merchant shall indemnify the Carrier for all penalties and legal fees resulting from such incorrect particulars being furnished.

6.4 All Freight shall be paid to the Carrier by the Merchant in cash without any set-off, counter-claim, deduction or pardon either at or prior to the time agreed for payment or at the latest before delivery of the Goods.

6.5 The Merchant shall be liable to the Carrier for the payment of all Freight and/or expenses including but not limited to court costs, legal fees and expenses incurred in collecting monies due to the Carrier. Payment of the Freight to a freight forwarder, broker or anyone other than the Carrier or its authorized agent shall not be deemed payment to the Carrier and shall be made at the Merchant's sole risk.

7. Lien

7.1 The Carrier shall have a lien on the Goods and any documents relating thereto, which shall survive delivery, for all sums payable to the Carrier under this contract and for general average contributions, to whomsoever due. The Carrier shall also have a lien against the Merchant on the Goods and any documents relating thereto for all sums due from the Merchant to the Carrier under any other contract. For recovering any sums due, the Carrier shall have the right to sell the Goods by public auction or private sale, without notice to the Merchant and the Carrier's lien shall extend to cover the cost of recovering any sums due.

8. Description of Goods

8.1 This Bill shall be prima facie evidence of the receipt by the Carrier in apparent external good order and condition, (except as otherwise noted), of the total number of Containers or other packages or units enumerated in the box entitled "Carrier's Receipt".

8.2 No representation is made by the Carrier as to the weight, contents, measure, quantity, quality, description, condition, marks, numbers or value of the Goods and the Carrier shall be under no responsibility whatsoever in respect of such description or particulars.

8.3 The Merchant warrants to the Carrier that the particulars relating to the Goods as set out overleaf have been checked by the Merchant on receipt of this Bill and that such particulars and any other particulars furnished by or on behalf of the Shipper including but not limited to the Container's Verified Gross Mass ("VGM") are accurate and correct. The Merchant also warrants that the Goods are lawful goods and contain no contraband, drugs or other illegal substances or stowaways, and that the Goods are adequately packed and prepared for shipment, and will not cause loss, damage, or expenses to the Carrier, the Vessel, or to any other cargo during the Carriage.

8.4 If any particulars of any Letter of Credit and/or Import Licence and/or Sale Contract and/or Invoice or Order Number and/or details of any contract to which the Carrier is not a party are shown on the face of this Bill, and/or if any particulars are inserted in the "Export Reference" and "Final Destination" boxes, such particulars are included solely at the request of the Merchant for his convenience and reference only. The Merchant acknowledges that except when the provisions of Clause 4.5(ii) apply, the value of the Goods is unknown to the Carrier, and that the inclusion of such particulars shall not be regarded as a declaration of value and in no way increase the Carrier's liability under this Bill. The Merchant further agrees to indemnify the Carrier against all consequences whatsoever of including such particulars in this Bill.

9. Container Packed by Merchant

9.1 If the Goods received by the Carrier are in Container(s) packed by or on behalf of the Merchant:

(a) this Bill is prima facie evidence of the receipt only of the number of Container(s) as shown herein; and

(b) the Merchant warrants that the stowage of the Goods in Container(s) and their closing and sealing are safe and proper and that the Goods and the Container(s) are suitable for Carriage in accordance with the terms hereof including Clause 14 and the Carrier's Tariff(s). For Containers

being transported by inland rail in the U.S., the Merchant shall properly load, block and brace the Goods in accordance with the Association of American Railroad ("AAR") Intermodal Loading Guide for Products in Closed Trailers and Containers and notify and require all parties involved in the loading of the Goods in the Container(s) to comply with these requirements. The AAR Intermodal Loading Guide can be obtained from the Carrier or the AAR (<https://www.aar.org>). In the event of the Merchant's breach of said warranties, the Carrier shall not be responsible for any loss of or damage to or in connection with the Goods or the Carriage resulting from said breach and the Merchant shall be liable for loss of or damage to any other property, or for personal injury or death or the consequences of any other accidents or events whatsoever and shall indemnify the Carrier in respect thereof; and

(c) the Merchant shall inspect the Container(s) when furnished by or on behalf of the Carrier, and they shall be deemed to have been accepted by the Merchant as being in sound and suitable condition for the Carriage, unless he gives notice to the contrary in writing to the Carrier; and

(d) if the Container(s) are delivered by the Carrier with seals intact, such delivery shall be deemed as full and complete performance of the Carrier's obligation and the Carrier shall not be liable for any loss of or damage to the contents of the Container(s).

10. Inspection of Goods

10.1 The Carrier shall be entitled, but under no obligation, to open and/or scan any Container or package at any time and to inspect, re-weigh, remeasure, revalue or repack the Goods without notice to the Merchant.

10.2 If pursuant to any of the Carrier's rights under this Bill or if by order of the authorities at any place, a Container or package has to be opened and/or seal of a Container broken, the Carrier will not be liable for any loss or damage incurred as a result of any opening, unpacking, inspection, re-weighing, re-measurement, revaluation, or repacking. The Merchant shall indemnify the Carrier for the cost of all measures taken as above.

11. Specialized Carriage

11.1 The Merchant undertakes not to tender for Carriage any Goods which require refrigeration, ventilation or any other special attention without giving prior written notice of their nature and temperature range to be maintained and/or special attention required. In the case of refrigerated, ventilated or any other specialized Container packed by or on behalf of the Merchant, the Merchant further undertakes that the Goods have been properly packed in the Container and that he has checked that its thermostatic, ventilating or any other special controls have been properly and exactly set, before receipt of the Goods by the Carrier. The Carrier shall not be liable for any loss or damage to the Goods arising out of or resulting from the Merchant's failure in such obligation and further does not guarantee the maintenance of any intended temperature inside the Container.

11.2 The Carrier shall not be liable for any loss or damage to the Goods arising from latent defects, derangement, breakdown, defrosting, stoppage of refrigeration, ventilating or any other specialized machinery, plant, insulation and/or any apparatus of the Container, vessel, conveyance and any other facilities, provided that the Carrier shall before and at the beginning of the Carriage exercise due diligence to maintain the Container supplied to the Carrier in an efficient state.

11.3 If the Goods have been packed into a refrigerated Container by the Carrier and the temperature range requested by the Merchant is inserted in this Bill, the Carrier will set the thermostatic controls within the requested temperature range, but does not guarantee the maintenance of such temperature inside the Container.

12. Carrier's Container

12.1 The Merchant shall assume full responsibility for and shall indemnify the Carrier against any loss of or damage to the Carrier's Container(s) and other equipment(s) which occurs while in the possession or control of the Merchant, his agents, servants or independent contractors engaged by or on behalf of the Merchant.

12.2 The Carrier shall in no event be liable for and the Merchant shall indemnify and hold the Carrier harmless from and against, any loss of or damage to property of other Persons or injuries or death to other Persons caused by the Carrier's Container(s) or the contents thereof during handling

by, or while in the possession or control of the Merchant, his agents, servants or independent contractors engaged by or on behalf of the Merchant.

12.3 If Container(s) supplied by or on behalf of the Carrier are unpacked at the Merchant's premises, the Merchant is responsible for returning the empty Container(s), with interiors brushed and clean, to the point or place designated by the Carrier, its agents or servants, within the time prescribed in the Carrier's applicable Tariff(s). Should Container(s) not be returned as aforesaid within the time prescribed, the Merchant shall be liable for any detention, losses and/or expenses which the Carrier may incur including but not limited to the cost of cleaning the interior of the Container(s).

13. Merchant's Responsibility

13.1 All of the Persons coming within the definition of Merchant in Clause 1.1 shall be jointly and severally liable to the Carrier for the due fulfillment of all obligations of the Merchant in this Bill.

13.2 The Merchant shall comply with all statutes, ordinances, regulations or requirements of customs, port, and any other authorities relative to the Goods, documentation and any other matters affecting or in any way relating thereto, and shall bear and pay all duties, taxes, fines, imposts, expenses or losses incurred or suffered due to any failure to so comply, or due to any illegal, incorrect or insufficient marking, numbering or addressing of the Goods, and shall indemnify the Carrier in respect thereof.

13.3 The Merchant shall indemnify, defend and hold the Carrier harmless from all consequences of any:

(a) failure by the Merchant to comply with any provision of this Bill, the Carrier's applicable Tariff(s), and/or any applicable circulars or contracts, laws or regulations, and/or

(b) breach of any of the Merchant's representations or warranties or undertakings herein.

13.4 The Merchant's obligation to so indemnify, defend and hold harmless shall include reimbursement of all expenses or amounts spent or incurred, including legal fees and expenses, penalties or liabilities imposed, or loss of profit, directly or indirectly arising from or in connection with such

failure or breach and shall not be defeated or reduced by any negligence on the part of or attributable to the Carrier.

14. Optional Stowage and Deck Cargo

14.1 Where the Goods are not already packed into Container(s) at the time of receipt, the Carrier shall be at liberty to pack and carry them in any type of Container(s).

14.2 The Goods packed in Containers (other than flats or pallets) by the Carrier or the Merchant, may be carried on or under deck without notice to the Merchant. All such Goods whether carried on deck or under deck shall participate in general average and such Goods (other than live animals) shall be deemed to be within the definition of the Goods for the purposes of the Hague Rules.

14.3 Notwithstanding Clause 14.2, Goods which are stated herein to be carried on deck are carried without any responsibility whatsoever on the part of the Carrier for loss or damage of whatsoever nature arising during the Carriage whether caused by the Vessel's unseaworthiness or the Carrier's negligence or any other cause whatsoever.

15. Live Animals and Plants

15.1 The Carrier shall not be responsible for any accident, disease, mortality, loss of or damage to live animals, birds, reptiles, fish or plants arising or resulting from any cause whatsoever including the Carrier's negligence or the Vessel's unseaworthiness, and shall have the benefit of all the provisions of this Bill, except those inconsistent with the provisions of this Clause.

16. Carriage Affected by Condition of Goods

16.1 If it appears or if the Carrier has reasonable grounds to believe at any time that, due to their nature or condition, the Goods cannot safely or properly be carried or carried further, either at all or without incurring

additional expense or taking measure(s) in relation to the Container or the Goods, the Carrier may without notice to the Merchant (but as his agent only) take any measure(s) and/or incur any additional expense to carry or to continue the Carriage thereof, and/or store them ashore or afloat, under cover or in the open at any place, whichever the Carrier, in his absolute discretion, considers most appropriate. Furthermore, the Carrier shall be entitled with or without notice to the Merchant to abandon the Goods whether in store or not, or to effect a sale or disposal of the Goods as may be necessary or appropriate. The Carrier's liability shall cease upon such abandonment, storage, sale or disposal. The Merchant shall indemnify the Carrier against any additional legal fees and expenses so incurred.

17. Modes, Route of Transport

17.1 The Carrier may at any time and without notice to the Merchant: use any means of transport or storage whatsoever; transfer the Goods from one conveyance to another including trans-shipping or carrying the same on another Vessel or means of transport other than the Vessel named herein; proceed by any route in his discretion (whether or not the nearest or most direct or customary or advertised route) and proceed to or stay at any place or port whatsoever once or more often, and in any order; and/or load and unload the Goods at any place or port (whether or not any such port is named herein as the port of loading or port of discharge) and store the Goods at any such place or port.

17.2 The Vessel shall always have liberty to dry dock, go to repair yards, shift berths, shift or re-stow the Goods, and take in fuel or stores. These liberties may be invoked by the Carrier for any purpose whatsoever and anything done in accordance with this Clause or any delay arising therefrom shall not be deemed to be a breach by the Carrier of the contract evidenced by this Bill or a deviation. Should the Carrier be held liable in respect of any such action, the Carrier shall be entitled to the full benefit of the Carrier's defenses.

18. Matters Affecting Performance (Liberty)

18.1 If at any time the Carriage is or is likely to be affected by any hindrance, risk, delay, difficulty or disadvantage of any kind whatsoever and

howsoever arising (even if the circumstances giving rise to such hindrance, risk, delay, difficulty or disadvantage existed at the time this contract was entered into or the Goods were received for the Carriage), the Carrier (whether or not the Carriage is commenced) may, without prior notice to the Merchant and at its sole discretion either:

(a) Carry the Goods to the named Place of Delivery by an alternative route to that indicated in this Bill or that which is usual for the Goods consigned to that Place of Delivery (if the Carrier elects to invoke the terms of this Clause 18.1(a), then notwithstanding the provisions of Clause 17 hereof, he shall be entitled to charge such additional Freight as the Carrier may determine); or

(b) Suspend the Carriage of the Goods and store them ashore or afloat upon the terms of this Bill and endeavour to forward them as soon as possible, but the Carrier makes no representations as to the maximum period of suspension (if the Carrier elects to invoke the terms of this Clause 18.1(b) then he shall be entitled to such additional Freight and/or storage charges and/or legal fees and expenses as the Carrier may determine); or

(c) Abandon the Carriage of the Goods and place the Goods at the Merchant's disposal at any place or port which the Carrier may at his sole discretion deem safe and convenient, whereupon the Carrier's responsibility in respect of such Goods shall cease. The Carrier shall nevertheless be entitled to full Freight on the Goods received for the Carriage, and the Merchant shall pay any additional costs of the Carriage to, and delivery and storage at such place or port. If the Carrier elects to use an alternative route under Clause 18.1(a) or to suspend the Carriage under Clause 18.1(b), this shall not prejudice his right subsequently to abandon the Carriage.

19. Dangerous Goods, Contraband

19.1 The Carrier undertakes to carry Goods of an explosive, inflammable, radioactive, corrosive, damaging, noxious, hazardous, poisonous, injurious or any other dangerous nature only upon the Carrier's acceptance of a prior written application by the Merchant for Carriage of such Goods, which acceptance the Carrier shall not be obliged to give. Such application must accurately state the precise nature, name, label and classification of Goods as well as the method of rendering them innocuous, with the full names, addresses and telephone numbers of the Merchant.

19.2 The Merchant shall undertake that the nature of Goods referred to in 19.1 above is distinctly and permanently marked and manifested on the outside of the package(s) and Container(s) and shall also undertake to submit the documents or certificates required by any applicable statutes or regulations at any stage of Carriage or by the Carrier.

19.3 The Merchant warrants that such Goods are packed in a manner to withstand the risks of Carriage having regard to their nature and in compliance with all laws, regulations or requirements, which may be applicable to the Carriage.

19.4 Whenever Goods are perceived or are discovered to pose a threat to the Vessel, any other means of transport, cargoes, properties or persons, or not to comply with 19.1 or 19.2 above, or Goods are perceived or found to be contraband or prohibited by any laws or regulations of the port of loading, discharge or call, or any place or waters during Carriage, the Carrier shall be entitled to have such Goods rendered innocuous, thrown overboard or discharged and left to the Merchant at any stage and place the Carrier may choose, or otherwise disposed of at the Carrier's discretion without compensation, and the Merchant shall be liable for and indemnify the Carrier against all loss, damage or liability including loss of freight, and any claims, liability, loss, damage, delay, costs, fines and/or expenses directly or indirectly arising out of or resulting from such Goods and all resulting actions taken by the Carrier, and shall post any necessary bonds or financial guarantees as may be required.

20. Nuclear Incident and Valuable Goods

20.1 The Carrier shall not be responsible for any loss or damage to or in connection with the Goods arising or resulting from nuclear incident occurring at any time, unless caused by the actual fault or privity of the Carrier.

20.2 The Carrier shall not be liable to any extent for any loss of or damage to or in connection with platinum, gold, silver, jewellery, precious stones, precious metals, radioisotopes, precious chemicals, bullion, specie, currency, negotiable instruments, securities, writings, documents, pictures, works of art, curios, heirlooms, collections of every nature or any other valuable goods whatsoever including Goods having particular value only for the Merchant, unless the true nature and value of the Goods have been declared in writing by the Merchant before receipt of the Goods by the Carrier,

and the same is inserted in this Bill and ad valorem freight has been fully prepaid.

21. Notification and Delivery

21.1 Any mention in this Bill of parties to be notified of the arrival of the Goods is solely for information of the Carrier, and failure to give such notification shall not involve the Carrier in any liability nor relieve the Merchant of any obligation hereunder.

21.2 The Merchant shall take delivery of the Goods within the free storage time provided for in the Carrier's applicable Tariff(s) or otherwise. If the Merchant fails to do so, without prejudice to any other rights of the Carrier hereunder, the Carrier may without notice unload the Goods or part thereof from the Vessel or the Container and/or store the Goods or part thereof ashore, afloat, in the open or under cover at the sole risk of the Merchant. Such storage shall constitute due delivery hereunder, and thereupon all liability whatsoever of the Carrier in respect of the Goods or part thereof shall cease, and the costs of such unloading or storage (if paid or payable by the Carrier or any agent or Sub-Contractor of the Carrier) shall immediately on demand be paid by the Merchant to the Carrier.

21.3 The Merchant's attention is drawn to the stipulations regarding detention and demurrage in the Tariff(s). If the Goods are unclaimed during a reasonable period not to exceed 45 days or whenever in the Carrier's opinion the Goods will become deteriorated, decayed or worthless, the Carrier may, without prejudice to any other rights against the Merchant, at his sole discretion and subject to his lien and without any responsibility attaching to him, sell, abandon or otherwise dispose of such Goods solely at the risk and expense of the Merchant, and apply the proceeds of any such sale or disposal in reduction of the sums due to the Carrier from the Merchant.

21.4 Delivery of the Goods under this Bill shall be effected by the Carrier providing to the Merchant the Goods or a Delivery Order or the pin codes for any Electronic Release System as applicable, and if the Carrier is obliged to discharge the Goods into the hands of any customs, port or other authority, such discharge shall constitute due delivery of the Goods to the Merchant under this bill of lading.

22. Notice of Claim and Time for Suit

22.1 Unless notice of loss or damage and the general nature of such loss or damage is given in writing to the Carrier at the Place of Delivery (or Port of Discharge if no Place of Delivery is named on the reverse hereof) before or at the time of delivery of the Goods or, if the loss or damage be not apparent, within 3 days after delivery, the Goods shall be deemed to have been delivered as described in this Bill.

22.2 Where the Goods have been or may have been lost or damaged during the custody of Sub-Contractors, the Carrier shall be discharged from all liability whatsoever in respect of the Goods unless the Merchant gives the Carrier notice of loss and notice of claim in time for the Carrier to comply with the requirements of the Sub-Contractors. It is the Merchant's obligation to inquire as to those requirements. The Carrier is not obligated to volunteer that information.

22.3 In any event, except as provided in Clause 22.2, the Carrier shall be discharged from all liability whatsoever in respect of the Goods unless suit is brought within one year after delivery of the Goods or the date when the Goods should have been delivered.

23. General Average

23.1 General average shall be adjusted, stated and settled at any port or place at the Carrier's option according to the York-Antwerp Rules 1994, and as to matters not provided for by these Rules, according to the laws and usages of the port or place of adjustment, and in the currency selected by the Carrier. The general average statement shall be prepared by adjusters appointed by the Carrier. An average agreement or bond and such cash deposit as the Carrier may deem sufficient to cover the estimated contribution of the Goods and any salvage and special charges thereon and any other additional securities as the Carrier may require shall be furnished by the Merchant to the Carrier before delivery of the Goods.

24. Both to Blame Collision Clause and New Jason Clause

24.1 The Both-To-Blame Collision Clause and New Jason Clause published by the Baltic and International Maritime Council (BIMCO), copies of which are available upon request, are hereby incorporated into this Bill.

25. Governing Law and Jurisdiction

25.1 Subject to Clause 25.2 below, the contract evidenced by or contained in this Bill shall be governed by Singapore law except as may be otherwise provided for herein. Unless otherwise agreed by the Carrier, any action against the Carrier hereunder must be brought exclusively before the Singapore High Court. Any action by the Carrier to enforce any provision of this Bill may be brought before any court of competent jurisdiction at the option of the Carrier.

25.2 For shipments to or from the United States of America (including its districts territories and possessions), the contract evidenced by or contained in this Bill shall be governed by U.S law.

25.3 Where the Goods are subject to adverse or competing claims, the Carrier may place the Goods in the custody of a court of competent jurisdiction for a determination of ownership and/or right to possession at the sole expense of the Merchant, including Carrier's legal fees and disbursements. The Carrier shall have no liability to the Merchant arising out of such placement and the Merchant consents to the exclusive jurisdiction of such Court.

26. US Clause Paramount

26.1 If the Carriage covered by this Bill includes Carriage to or from a port or place in the United States of America, including its districts, territories and possessions, this Bill shall be subject to US COGSA, the terms of which are incorporated herein and US COGSA shall govern throughout the entire Carriage set forth in this Bill (and not just Waterborne Carriage) from the time of receipt of the Goods to the time of delivery of the goods. If US COGSA so applies, then with respect to Goods carried on deck and stated on the face hereof to be so carried, with respect to live animals, birds, reptiles, fish, shellfish and plants, all risk or loss or damage by perils inherent in or incidental to such Carriage shall be borne by the Merchant, and in all other

respects, the Carrier shall have benefit of the provisions of US COGSA, notwithstanding Section 1(c) thereof. Neither Clause 3.2(a), (b), the Hamburg Rules nor the Visby Amendments shall apply to the Carriage to or from the United States. The Carrier shall be entitled to the benefits of the defenses and limitations in US COGSA, whether or not the loss or damage to the Goods occurs at sea.

26.2 For limitation purposes under US COGSA, it is agreed that the meaning of the word "package" shall be any palletised and/or unitised assemblage of cartons which has been palletised and/or unitised for the convenience of the Merchant, regardless of whether said pallet or unit is disclosed on the front hereof. If US COGSA so applies, neither the Carrier nor the Vessel shall, in any event, be or become liable for any loss or damage to or in connection with the Goods in an amount exceeding \$500.00 lawful money of the United States per package, or in the case of Goods not shipped in packages, per customary freight unit, unless the nature and value of the Goods have been declared by the Shipper before shipment and inserted in this Bill.

27. Hamburg Rules

27.1 Notwithstanding the terms of Clause 25 herein if proceedings are brought before the courts of a Contracting State to the United Nations Convention on the Carriage of Goods by Sea 1978 (the Hamburg Rules) or the courts of any State whose national legislation makes the Hamburg Rules effective and if such courts adjudge the Hamburg Rules or such national legislation to be compulsorily applicable to this Bill, then in those circumstances only shall this Bill take effect subject to the Hamburg Rules or such national legislation and any term of this Bill derogating therefrom to the detriment of the Merchant shall be void to that extent but no further.

27.2 In any event the Carrier shall be entitled to contest enforcement of any judgment made in a Contracting State to the Hamburg Rules in any proceedings before courts in a Non-Contracting State.

EXHIBIT 2



COPY NON NEGOTIABLE

PAGE: 1 OF 2

BILL OF LADING

SHIPPER/EXPORTER EVOLUTION COMERCIAL EXPORTADORA LTDA - RUA WOLFGANG AMMON, 87- 4 ANDAR SALA 44 EDIFICIO MILANO - CENTRO 89280-169 SAO BENTO DO SUL >		BOOKING NO. SAOU24596300	BILL OF LADING NO. ONEYSAOU24596300
CONSIGNEE PACIFIC LUMBER RESOURCES INC 1159 MCVEY AVE, LAKE OSWEGO, OR 97034 USA		EXPORT REFERENCES (for the Merchant's and/or Carrier's reference only. See back clause 8. (4))	
NOTIFY PARTY (It is agreed that no responsibility shall be attached to the Carrier or its Agents for failure to notify) PACIFIC LUMBER RESOURCES INC 1159 MCVEY AVE, LAKE OSWEGO, OR 97034 USA		FORWARDING AGENT-REFERENCES FMC NO.	
PRE-CARRIAGE BY		PLACE OF RECEIPT NAVEGANTES	
OCEAN VESSEL VOYAGE NO. FLAG SKIATHOS 1837N		PORT OF LOADING NAVEGANTES	
PORT OF DISCHARGE HOUSTON, TX, *1		PLACE OF DELIVERY HOUSTON	
(CHECK "HM" COLUMN IF HAZARDOUS MATERIAL)		TYPE OF MOVEMENT (IF MIXED, USE DESCRIPTION OF PACKAGES AND GOODS FIELD) CY / CY	

CNTR. NOS. W/ SEAL NOS. MARKS & NUMBERS		QUANTITY (FOR CUSTOMS DECLARATION ONLY)	DESCRIPTION OF GOODS	GROSS WEIGHT	GROSS MEASUREMENT
TLLU4206254	/ EC	SA316453	/ 19 BUNDLES //40HQ/26500.00	000KGS/50.903M3	
TCNU3032100	/ EC	SA316508	/ 19 BUNDLES //40HQ/26500.00	000KGS/50.903M3	
DRYU6013081	/ EC	SA316456	/ 19 BUNDLES //40HQ/26500.00	000KGS/50.903M3	
FCIU9418861	/ EC	SA316460	/ 19 BUNDLES //40HQ/26500.00	000KGS/50.903M3	
TCNU2107307	/ EC	SA316503	/ 19 BUNDLES //40HQ/26500.00	000KGS/50.903M3	
MADE IN BRAZIL		95 BUNDLES	05 X40 HC CONTAINER SAID TO CONTAIN 95 BUNDLES CONTAINING PINUS ELLIOTIS PINE PLYWOOD (W8.1) AS PER PO BAP-18656, BAP-18657, BAP-18658, BAP-18659, BAP-18660	132500.000KGS	254.515CBM

** TO BE CONTINUED ON ATTACHED LIST **

Declared Cargo Value US \$. If Merchant enters a value, Carrier's limitation of liability shall not apply and the ad valorem rate will be charged.

FREIGHT & CHARGES PAYABLE AT / BY RICHMOND, VA SECAUCUS, NJ		SERVICE CONTRACT NO. SAO18T0292		DOC FORM NO.	COMMODITY CODE	EXCHANGE RATE	[1] ORIGINAL BILLS(S) OF LADING HAVE BEEN SIGNED, WHERE DELIVERED AGAINST ONE, THE OTHERS(S) TO BE VOID.
CODE	TARIFF ITEM	FREIGHTED AS	RATE	PREPAID	COLLECT		DATE CARGO RECEIVED
OCEAN FREIGHT 1	5/40HQ	1400.00	USD	7000.00		USD/1.000000	DATE LADEN ON BOARD
BAF BUNKER	5.000	160.00	USD	800.00		USD/1.000000	20 OCT 2018 AF
THL TERMINAL	5.000	760.00	BRL	3800.00		BRL/1.000000	PLACE OF BILL(S) ISSUE
TSL TERMINAL	5.000	18.00	USD	90.00		BRL/3.721400	SAO PAULO
TSD TERMINAL	5.000	5.00			USD 25.00	USD/1.000000	DATED
CSS CARRIER	5.000	15.00	USD	75.00		USD/1.000000	20 OCT 2018
SLF SEAL FEE	5.000	22.00	BRL	110.00		BRL/1.000000	
TOTAL		BRL	3910.00	USD	25.00	SIGNED BY: OCEAN NETWORK EXPRESS SAO PAULO	
		USD	7965.00			as agent for and on behalf of	

The printed terms and conditions on this Bill are available at its website at www.one-line.com

TOTAL PREPAID IN PAYMENT CURRENCY USD 7875.00 RICHMOND, VA
BRL 4244.93 SAO PAULOEXHIBIT
2Ocean Network Express Pte. Ltd.
(ONE), AS CARRIER

BOE 00036

COPY NON NEGOTIABLE

VESSEL VOYAGE: SKIATHOS 1837N

B/L NO.: ONEYSAOU24596300

CNTR NOS W/SEAL NOS. MARKS & NUMBERS	QUANTITY (FOR CUSTOMS DECLARATION ONLY)	H M	DESCRIPTION OF GOODS	GROSS WEIGHT	MEASUREMENT
			AS FOLLOWS: CDX 1,22 X 2,44 12MM INVOICE: 135-18 NCM: 4412.99.00 HS CODE: 4412.99 NET WEIGHT: 132.500,00 KG 254,515 M3 WOODEN PACKAGE USED: PROCESSED FREIGHT PREPAID DU-E: 18BR000674418-3 RUC: 8BR05699094113518 > SC - BRASIL CNPJ: 05.699.094/0001-52		
OCEAN FREIGHT PREPAID *1 UNITED STATES "SHIPPER'S DESIRE TO STATE THAT" "SHIPPER'S LOAD, STOW AND COUNT" DESTINATION CHARGES COLLECT PER LINE TARIFF AND OTHER CHARGES TO BE COLLECTED FROM THE PARTY WHO LAWFULLY DEMANDS DELIVERY OF THE CARGO WITHOUT PREJUDICE TO THE CARRIER'S RIGHTS AGAINST THE MERCHANT (SEE BACK CLAUSE 1) AS SET OUT AT BACK CLAUSE 13(1) SAID TO CONTAIN SHIPPER'S LOAD & COUNT SHIPPER'S STOW, LOAD, COUNT AND WEIGHT SUBJECT TO ALL THE TERMS AND CONDITIONS OF THE APPLICABLE TARIFF					

SIGNED
BY: OCEAN NETWORK EXPRESS SAO PAULO

, as agent for and on behalf of



 Ocean Network Express Pte. Ltd.
 (ONE), AS CARRIER

BOE 00037

OCEAN NETWORK EXPRESS

RECEIVED by the Carrier in apparent good order and condition (unless otherwise stated herein) the total number or quantity of Containers or other packages or units indicated in the box entitled "Carrier's Receipt", to be carried subject to all the terms and conditions hereof from the Place of Receipt or Port of Loading to the Port of Discharge or Place of Delivery, as applicable. Delivery of the Goods to the Carrier for Carriage hereunder constitutes acceptance by the Merchant (as defined hereinafter) (i) of all the terms and conditions, whether printed, stamped or otherwise incorporated on this side and on the reverse side of this Bill of Lading and the terms and conditions of the Carrier's applicable tariff(s) as if they were all signed by the Merchant, and (ii) that any prior representations and/or agreements for or in connection with Carriage of the Goods are superseded by this Bill of Lading. If this is a negotiable (To Order/of) Bill of Lading, one original Bill of Lading, duly endorsed must be surrendered by the Merchant to the Carrier (together with any outstanding Freight) in exchange for the Goods or a Delivery Order or the pin codes for any applicable Electronic Release System. If this is a non-negotiable (straight) Bill of Lading, or where issued as a Sea Waybill, the Carrier shall deliver the Goods or issue a Delivery Order or the pin codes for any applicable Electronic Release System (after payment of outstanding Freight) to the named consignee against the surrender of one original Bill of Lading, or in the case of a Sea Waybill, on production of such reasonable proof of identify as may be required by the Carrier, or in accordance with the national law at the Port of Discharge or Place of Delivery as applicable. IN WITNESS WHEREOF the Carrier or their Agent has signed the number of Bills of Lading stated at the top, all of this tenor and date, and whenever one original Bill of Lading has been surrendered all other Bills of Lading shall be void.

1. Definitions and Tariff

1.1 Definitions

"Bill" means this document, whether issued as a Bill of Lading or a Sea Waybill, and whether issued in paper or electronic form;

"Carriage" means the whole or any part of the operations and services whatsoever undertaken by the Carrier in respect of the Goods covered under this Bill;

"Carrier" means Ocean Network Express Pte Ltd on whose behalf this Bill has been signed;

"Container" includes any container (including an open top container), trailer, transportable tank, flat rack or pallet or any similar article used to consolidate Goods and any ancillary equipment;

"Freight" includes all charges payable to the Carrier in accordance with the applicable Tariff(s) and this Bill, including storage, demurrage and detention;

"Goods" means the whole or any part of the cargo and any packaging received from the Shipper and includes any equipment or Container not supplied by or on behalf of the Carrier;

"Hague Rules" means the provisions of the International Convention for the Unification of Certain Rules relating to Bills of Lading signed at Brussels on 25th August, 1924 and includes the amendments by the Protocols signed at Brussels in 1968, and 1979, but only if such amendments (hereinafter collectively called "the Visby Amendments") are compulsorily applicable to this Bill and nothing in this Bill shall be construed as contractually applying the Visby Amendments;

"Holder" means any person for the time being in possession of or entitled to this Bill by reason of the consignment of Goods or the endorsement of this Bill or otherwise;

"Merchant" includes the Shipper, Consignee, owner, Person owning or entitled to possession of the Goods or of this Bill, Receiver, Holder, and anyone acting on behalf of any such person, including but not limited to agents, servants, independent contractors, non-vessel operating common carriers ("NVOCCs"), and freight forwarders;

"Person" includes an individual, group, company or other entity;

"Place of Delivery" means a place so named overleaf or any other place where the Carrier has contracted to deliver the Goods when such place is other than the Port of Discharge;

"Place of Receipt" means a place so named overleaf or any other place where the Carrier has contracted to receive the Goods, when such place is other than the Port of Loading;

"Port of Loading" means a port or place so named overleaf or any other port or place where the Goods are loaded onto the Vessel for Carriage;

"Port of Discharge" means a port or place so named overleaf or any other port or place where the Goods are discharged from the Vessel;

"Sub-Contractor" includes owners, charterers and operators of the Vessel or any other vessel (other than the Carrier), sea, water, rail, road, air or other transport operators or carriers, stevedores, terminal operators, warehousemen, and any independent contractors or agents employed by the Carrier in performance of the Carriage and any subcontractor thereof;

"US COGSA" means the United States Carriage of Goods by Sea Act, 1936;

"Vessel" includes the vessel named on the face hereof, and any vessel, lighter, barge, ship, watercraft or any other means of water transport used in whole or in part for Carriage of Goods under this Bill;

"Verified Gross Mass" means the combined mass of a Container's tare mass and the masses of all packages and cargo items including but not limited to pallets, dunnage, other packing material and securing materials packed in the Container and verified by one of the methods of weighing specified in SOLAS Chapter VI Regulation 2.

"Waterborne Carriage" means carriage by sea or water, and includes the period during which the Goods are under the custody of the Carrier for the Carriage at the sea/water terminal of the Port of Loading or the Port of Discharge, whether or not on board the Vessel.

1.2 Carrier's Tariff

The terms of the Carrier's applicable Tariff(s) ("Tariff") are incorporated herein. The Merchant's attention is drawn to clause 6 hereof. Copies of the relevant provisions of the Tariff(s) are obtainable from the Carrier upon request. In the case of inconsistency between this Bill and any applicable Tariff, this Bill shall prevail.

2. Terms and Conditions

2.1 The terms and conditions provided for in this Bill shall apply in any action by or against the Carrier for any loss or damage whatsoever and howsoever occurring (and without restricting the generality of the foregoing, including delay, late delivery and/or delivery without surrender of this Bill), whether the action be founded in contract, bailment or in tort.

2.2 The terms and conditions of this Bill are separable, and if any term or condition is held to be invalid, null and void, or unenforceable, that shall not affect in any way the validity or enforceability of any other term or condition of this Bill.

2.3 The terms and conditions of this Bill shall govern the relations between the Carrier and the Merchant in respect of the Carriage, whether a Bill of Lading is issued or not.

2.4 If this Bill is accepted by a NVOCC, who has in turn made other contracts of carriage with third parties, the said NVOCC hereby:

(a) undertakes that no claim or allegation in respect of the Goods shall be made against the Carrier by any Person, other than in accordance with the terms and conditions hereof, which imposes or attempts to impose upon the Carrier or any vessel, owned or operated by the Carrier or employed in the Carriage, any liability whatsoever in connection with the Goods, whether or not arising out of negligence on the part of the Carrier, and if any such claim or allegation should nevertheless be made, to indemnify the Carrier against all consequences thereof (including legal fees, expert fees and disbursements), and

(b) warrants that all bills of lading or other documents recording the contracts of carriage issued by him in respect of the Goods shall effectively incorporate and bind his counterparties to the terms of this Bill including the law and jurisdiction clause, and agrees to defend, hold harmless and indemnify the Carrier, his servants, agents and Subcontractors against all consequences of his failing to do so.

2.5 In no event shall the Carrier be liable for any direct or indirect loss of profit or any consequential loss whatsoever.

2.6 Where loss or damage is caused partly by a cause for which the Carrier is liable, the Carrier shall be liable only for the portion of the loss or damage proved by the Merchant to have resulted from the cause for which the Carrier is liable. The Merchant shall indemnify the Carrier (including legal and expert fees and disbursements) when the Carrier pays damages in excess of its share of fault.

2.7 The Carrier does not undertake that the Goods shall arrive at the Port of Discharge or Place of Delivery on/at any particular date or time or to meet any particular market or use, and the Carrier shall in no circumstances be liable for delay or for any indirect or special or consequential loss or damage whatsoever incurred by the Merchant.

3. Carrier's Responsibility

3.1 The Carrier shall not be responsible for loss or damage to the Goods occurring before the receipt of the Goods by the Carrier or after the delivery of the Goods to the Merchant or its designee. The Carrier shall be liable for loss or damage to the Goods occurring between the time when he receives the Goods and the time of delivery only to the extent set out below.

3.2 Except for the shipment of Goods to, from or through the United States, including its districts, territories and possessions, which shall be governed by Clause 26 below, if the stage of the Carriage during which the loss or damage occurred can be proved, the liability of the Carrier shall be determined:

(a) if the loss or damage is proved to have occurred during the Waterborne Carriage, by the Hague Rules, Articles 1-8 inclusive, but excluding Article 1(e),

(b) where the loss or damage is proved not to have occurred during the Waterborne Carriage, by the provisions contained in any international convention or national law which provisions,

(i) cannot be departed from by private contract to the detriment of the Merchant; and

(ii) would have applied if the Merchant had made a separate and direct contract with the Carrier in respect of the stage of the Carriage during

which the loss or damage occurred and had received as evidence thereof any document which must be issued in order to make such international convention or national law applicable; and

(iii) would have been applicable if the contract referred to in (ii) above had been governed by the internal law of the State where the loss or damage occurred.

3.3 Except for the shipment of Goods to, from or through the United States, including its districts, territories and possessions, which shall be governed by Clause 26 below, if neither Clause 3.2(a) or 3.2(b) above applies, or if the stage of the Carriage during which the loss or damage occurred cannot be determined, the Carrier shall be relieved of liability for any loss or damage if such loss or damage was caused by:

- (i) act of God,
- (ii) act of War,
- (iii) act of public enemies,
- (iv) arrest or restraint of princes, rulers or people or seizure under legal process,
- (v) quarantine restrictions,
- (vi) an act or omission of the Merchant, his agent, representative or sub-contractor,
- (vii) compliance with instructions of any Person entitled to give them,
- (viii) insufficiency of or defective condition of packing or marking,
- (ix) handling, loading, stowage or unloading of the Goods by or on behalf of the Merchant,
- (x) inherent vice of the Goods,
- (xi) latent defects not discoverable by due diligence,
- (xii) fire, unless caused by the actual fault or privity of the Carrier,

- (xiii) strike, lock-out, stoppage or restraint of labour, from whatever cause, whether partial or general,
- (xiv) riots and civil commotions,
- (xv) any cause or event which the Carrier could not avoid and the consequences whereof he could not prevent by the exercise of reasonable diligence.

3.4 The burden of proving prima facie that the loss or damage was due to one or more of the causes or events specified in Clause 3.3 shall rest upon the Carrier, save that if the Carrier establishes that the loss or damage could be attributed to one or more of the causes or events specified in Clause 3.3 other than (vi), (vii), (viii), (ix), (x) or (xv), it shall be presumed that it was so caused. The Merchant shall, however, be entitled to prove that the loss or damage was not, in fact, caused either wholly or partly by one or more of these causes or events.

3.5 If the Carrier is requested by the Merchant to procure carriage by an inland carrier beyond the Place of Delivery (or the Port of Discharge if no Place of Delivery is named) such carriage shall be procured by the Carrier as agent only to the Merchant and the Carrier shall have no liability whatsoever for such carriage or the acts or omissions of such inland carrier.

3.6 Where this Bill is issued as a Sea Waybill, this Bill shall have effect subject to the CMI Uniform Rules for Sea Waybills which are deemed to be incorporated herein; provided, however that if any provisions of such Rules are inconsistent with those of this Bill, the latter shall prevail.

4. Limitation of Liability

4.1 Nothing in this Bill shall operate to limit or deprive the Carrier of any statutory protection or exemption or limitation of liability authorized by any applicable laws, statutes or regulations of any country.

4.2 It is agreed by the Merchant that the Carrier qualifies and shall be regarded as a person entitled to limit liability under any applicable convention for the Limitation of Liability for Maritime Claims notwithstanding that the Carrier may have secured space on board the relevant vessel by means of a slot charter, bill of lading, waybill or other contract of carriage. Subject to any

law compulsorily applicable to the Carriage to the contrary, and save to that extent, the fund to which the Carrier may limit its liability in respect of all claims arising out of an incident shall be that part or proportion of the limitation fund applicable to the actual carrier that is available for the Carrier's claims against the actual carrier.

4.3 If the Hague Rules are applicable by national law, the liability of the Carrier shall in no event exceed the limit provided in the applicable national law. If the Hague Rules are applicable otherwise than by national law, the liability of the Carrier shall in no event exceed 100 pounds sterling per package or unit.

4.4 Except as provided in Clauses 3.2(a), 3.2(b) and 27, if Clause 3.3 operates, total compensation shall in no circumstances exceed 2 SDRs per kilo of gross weight of the Goods lost or damaged (SDR means Special Drawing Right as defined by the International Monetary Fund).

4.5 The Merchant agrees and acknowledges that the Carrier has no knowledge of the value of the Goods and higher compensation than that provided for in this Bill may be claimed only when, with the consent of the Carrier, (i) for multimodal shipments to or from the U.S. where U.S. inland carriage is undertaken, the Merchant elects to avoid any liability limitation provided herein by prepaying extra freight and opting for full liability by complying with the terms in the Carrier's Tariff(s); and (ii) in all other cases, the Shipper declares the value of the Goods and requests that the Carrier insert the declared value of the Goods in the box marked "Declared Value" on the reverse of this Bill, and for which extra freight has been paid by the Merchant. In that case, the amount of the declared value shall be substituted for the limits laid down in this Bill. Any partial loss or damage shall be adjusted pro rata based on such declared value.

5. Sub-Contracting

5.1 The Carrier shall be entitled to subcontract the whole or any part of the Carriage on any terms whatsoever, including liberty to further subcontract.

5.2 The Merchant undertakes that no claim or allegation shall be made against any Person who performs or undertakes the Carriage (including all Sub Contractors) other than the Carrier, which imposes or attempts to

impose upon such Person, or any vessel owned by such Person, any liability whatsoever in connection with the Goods or the Carriage, whether or not arising out of negligence on the part of such Person and, if any such claim or allegation should nevertheless be made, to indemnify the Carrier against all consequences thereof.

5.3 Without prejudice to Clause 5.2 such Person (including any Subcontractor) shall have the benefit of every right, exemption from liability, defence and immunity of whatsoever nature applicable to the Carrier or to which the Carrier is entitled herein including but not limited to the right to enforce Clause 25 hereof, as if such provisions were expressly for his benefit. In entering into this contract, the Carrier, to the extent of these provisions, does so not only on his own behalf but also as agent and trustee for such Person.

5.4 The provisions of Clause 5.2, including but not limited to the undertakings of the Merchant contained therein, shall extend to claims or allegations of whatsoever nature against other Persons chartering space on the Vessel.

5.5 The Merchant further undertakes that no claim or allegation in respect of the Goods shall be made against the Carrier by any Person, other than in accordance with the terms and conditions of this Bill, which imposes or attempts to impose upon the Carrier any liability whatsoever in connection with the Goods or the Carriage, whether or not arising out of negligence on the part of the Carrier and, should any such claim or allegation nevertheless be made, to indemnify the Carrier against all consequences thereof.

6. Freight

6.1 Freight shall be deemed fully earned on receipt of the Goods by the Carrier, whether the Goods are lost or not, and shall be paid and non-returnable in any event.

6.2 The Merchant acknowledges and accepts the stipulations concerning currency in which the Freight is to be paid, rate of exchange, devaluation and other contingencies relative to Freight in the applicable Tariff(s).

6.3 Freight has been calculated based on particulars furnished by or on behalf of the Merchant. If such particulars are incorrect, it is agreed that a sum equal to double the correct Freight less the Freight charged shall be payable as liquidated damages to the Carrier, provided that the Carrier's Tariff(s) does not stipulate otherwise. The Merchant shall indemnify the Carrier for all penalties and legal fees resulting from such incorrect particulars being furnished.

6.4 All Freight shall be paid to the Carrier by the Merchant in cash without any set-off, counter-claim, deduction or pardon either at or prior to the time agreed for payment or at the latest before delivery of the Goods.

6.5 The Merchant shall be liable to the Carrier for the payment of all Freight and/or expenses including but not limited to court costs, legal fees and expenses incurred in collecting monies due to the Carrier. Payment of the Freight to a freight forwarder, broker or anyone other than the Carrier or its authorized agent shall not be deemed payment to the Carrier and shall be made at the Merchant's sole risk.

7. Lien

7.1 The Carrier shall have a lien on the Goods and any documents relating thereto, which shall survive delivery, for all sums payable to the Carrier under this contract and for general average contributions, to whomsoever due. The Carrier shall also have a lien against the Merchant on the Goods and any documents relating thereto for all sums due from the Merchant to the Carrier under any other contract. For recovering any sums due, the Carrier shall have the right to sell the Goods by public auction or private sale, without notice to the Merchant and the Carrier's lien shall extend to cover the cost of recovering any sums due.

8. Description of Goods

8.1 This Bill shall be prima facie evidence of the receipt by the Carrier in apparent external good order and condition, (except as otherwise noted), of the total number of Containers or other packages or units enumerated in the box entitled "Carrier's Receipt".

8.2 No representation is made by the Carrier as to the weight, contents, measure, quantity, quality, description, condition, marks, numbers or value of the Goods and the Carrier shall be under no responsibility whatsoever in respect of such description or particulars.

8.3 The Merchant warrants to the Carrier that the particulars relating to the Goods as set out overleaf have been checked by the Merchant on receipt of this Bill and that such particulars and any other particulars furnished by or on behalf of the Shipper including but not limited to the Container's Verified Gross Mass ("VGM") are accurate and correct. The Merchant also warrants that the Goods are lawful goods and contain no contraband, drugs or other illegal substances or stowaways, and that the Goods are adequately packed and prepared for shipment, and will not cause loss, damage, or expenses to the Carrier, the Vessel, or to any other cargo during the Carriage.

8.4 If any particulars of any Letter of Credit and/or Import Licence and/or Sale Contract and/or Invoice or Order Number and/or details of any contract to which the Carrier is not a party are shown on the face of this Bill, and/or if any particulars are inserted in the "Export Reference" and "Final Destination" boxes, such particulars are included solely at the request of the Merchant for his convenience and reference only. The Merchant acknowledges that except when the provisions of Clause 4.5(ii) apply, the value of the Goods is unknown to the Carrier, and that the inclusion of such particulars shall not be regarded as a declaration of value and in no way increase the Carrier's liability under this Bill. The Merchant further agrees to indemnify the Carrier against all consequences whatsoever of including such particulars in this Bill.

9. Container Packed by Merchant

9.1 If the Goods received by the Carrier are in Container(s) packed by or on behalf of the Merchant:

(a) this Bill is prima facie evidence of the receipt only of the number of Container(s) as shown herein; and

(b) the Merchant warrants that the stowage of the Goods in Container(s) and their closing and sealing are safe and proper and that the Goods and the Container(s) are suitable for Carriage in accordance with the terms hereof including Clause 14 and the Carrier's Tariff(s). For Containers

being transported by inland rail in the U.S., the Merchant shall properly load, block and brace the Goods in accordance with the Association of American Railroad ("AAR") Intermodal Loading Guide for Products in Closed Trailers and Containers and notify and require all parties involved in the loading of the Goods in the Container(s) to comply with these requirements. The AAR Intermodal Loading Guide can be obtained from the Carrier or the AAR (<https://www.aar.org>). In the event of the Merchant's breach of said warranties, the Carrier shall not be responsible for any loss of or damage to or in connection with the Goods or the Carriage resulting from said breach and the Merchant shall be liable for loss of or damage to any other property, or for personal injury or death or the consequences of any other accidents or events whatsoever and shall indemnify the Carrier in respect thereof; and

(c) the Merchant shall inspect the Container(s) when furnished by or on behalf of the Carrier, and they shall be deemed to have been accepted by the Merchant as being in sound and suitable condition for the Carriage, unless he gives notice to the contrary in writing to the Carrier; and

(d) if the Container(s) are delivered by the Carrier with seals intact, such delivery shall be deemed as full and complete performance of the Carrier's obligation and the Carrier shall not be liable for any loss of or damage to the contents of the Container(s).

10. Inspection of Goods

10.1 The Carrier shall be entitled, but under no obligation, to open and/or scan any Container or package at any time and to inspect, re-weigh, remeasure, revalue or repack the Goods without notice to the Merchant.

10.2 If pursuant to any of the Carrier's rights under this Bill or if by order of the authorities at any place, a Container or package has to be opened and/or seal of a Container broken, the Carrier will not be liable for any loss or damage incurred as a result of any opening, unpacking, inspection, re-weighing, re-measurement, revaluation, or repacking. The Merchant shall indemnify the Carrier for the cost of all measures taken as above.

11. Specialized Carriage

11.1 The Merchant undertakes not to tender for Carriage any Goods which require refrigeration, ventilation or any other special attention without giving prior written notice of their nature and temperature range to be maintained and/or special attention required. In the case of refrigerated, ventilated or any other specialized Container packed by or on behalf of the Merchant, the Merchant further undertakes that the Goods have been properly packed in the Container and that he has checked that its thermostatic, ventilating or any other special controls have been properly and exactly set, before receipt of the Goods by the Carrier. The Carrier shall not be liable for any loss or damage to the Goods arising out of or resulting from the Merchant's failure in such obligation and further does not guarantee the maintenance of any intended temperature inside the Container.

11.2 The Carrier shall not be liable for any loss or damage to the Goods arising from latent defects, derangement, breakdown, defrosting, stoppage of refrigeration, ventilating or any other specialized machinery, plant, insulation and/or any apparatus of the Container, vessel, conveyance and any other facilities, provided that the Carrier shall before and at the beginning of the Carriage exercise due diligence to maintain the Container supplied to the Carrier in an efficient state.

11.3 If the Goods have been packed into a refrigerated Container by the Carrier and the temperature range requested by the Merchant is inserted in this Bill, the Carrier will set the thermostatic controls within the requested temperature range, but does not guarantee the maintenance of such temperature inside the Container.

12. Carrier's Container

12.1 The Merchant shall assume full responsibility for and shall indemnify the Carrier against any loss of or damage to the Carrier's Container(s) and other equipment(s) which occurs while in the possession or control of the Merchant, his agents, servants or independent contractors engaged by or on behalf of the Merchant.

12.2 The Carrier shall in no event be liable for and the Merchant shall indemnify and hold the Carrier harmless from and against, any loss of or damage to property of other Persons or injuries or death to other Persons caused by the Carrier's Container(s) or the contents thereof during handling

by, or while in the possession or control of the Merchant, his agents, servants or independent contractors engaged by or on behalf of the Merchant.

12.3 If Container(s) supplied by or on behalf of the Carrier are unpacked at the Merchant's premises, the Merchant is responsible for returning the empty Container(s), with interiors brushed and clean, to the point or place designated by the Carrier, its agents or servants, within the time prescribed in the Carrier's applicable Tariff(s). Should Container(s) not be returned as aforesaid within the time prescribed, the Merchant shall be liable for any detention, losses and/or expenses which the Carrier may incur including but not limited to the cost of cleaning the interior of the Container(s).

13. Merchant's Responsibility

13.1 All of the Persons coming within the definition of Merchant in Clause 1.1 shall be jointly and severally liable to the Carrier for the due fulfillment of all obligations of the Merchant in this Bill.

13.2 The Merchant shall comply with all statutes, ordinances, regulations or requirements of customs, port, and any other authorities relative to the Goods, documentation and any other matters affecting or in any way relating thereto, and shall bear and pay all duties, taxes, fines, imposts, expenses or losses incurred or suffered due to any failure to so comply, or due to any illegal, incorrect or insufficient marking, numbering or addressing of the Goods, and shall indemnify the Carrier in respect thereof.

13.3 The Merchant shall indemnify, defend and hold the Carrier harmless from all consequences of any:

(a) failure by the Merchant to comply with any provision of this Bill, the Carrier's applicable Tariff(s), and/or any applicable circulars or contracts, laws or regulations, and/or

(b) breach of any of the Merchant's representations or warranties or undertakings herein.

13.4 The Merchant's obligation to so indemnify, defend and hold harmless shall include reimbursement of all expenses or amounts spent or incurred, including legal fees and expenses, penalties or liabilities imposed, or loss of profit, directly or indirectly arising from or in connection with such

failure or breach and shall not be defeated or reduced by any negligence on the part of or attributable to the Carrier.

14. Optional Stowage and Deck Cargo

14.1 Where the Goods are not already packed into Container(s) at the time of receipt, the Carrier shall be at liberty to pack and carry them in any type of Container(s).

14.2 The Goods packed in Containers (other than flats or pallets) by the Carrier or the Merchant, may be carried on or under deck without notice to the Merchant. All such Goods whether carried on deck or under deck shall participate in general average and such Goods (other than live animals) shall be deemed to be within the definition of the Goods for the purposes of the Hague Rules.

14.3 Notwithstanding Clause 14.2, Goods which are stated herein to be carried on deck are carried without any responsibility whatsoever on the part of the Carrier for loss or damage of whatsoever nature arising during the Carriage whether caused by the Vessel's unseaworthiness or the Carrier's negligence or any other cause whatsoever.

15. Live Animals and Plants

15.1 The Carrier shall not be responsible for any accident, disease, mortality, loss of or damage to live animals, birds, reptiles, fish or plants arising or resulting from any cause whatsoever including the Carrier's negligence or the Vessel's unseaworthiness, and shall have the benefit of all the provisions of this Bill, except those inconsistent with the provisions of this Clause.

16. Carriage Affected by Condition of Goods

16.1 If it appears or if the Carrier has reasonable grounds to believe at any time that, due to their nature or condition, the Goods cannot safely or properly be carried or carried further, either at all or without incurring

additional expense or taking measure(s) in relation to the Container or the Goods, the Carrier may without notice to the Merchant (but as his agent only) take any measure(s) and/or incur any additional expense to carry or to continue the Carriage thereof, and/or store them ashore or afloat, under cover or in the open at any place, whichever the Carrier, in his absolute discretion, considers most appropriate. Furthermore, the Carrier shall be entitled with or without notice to the Merchant to abandon the Goods whether in store or not, or to effect a sale or disposal of the Goods as may be necessary or appropriate. The Carrier's liability shall cease upon such abandonment, storage, sale or disposal. The Merchant shall indemnify the Carrier against any additional legal fees and expenses so incurred.

17. Modes, Route of Transport

17.1 The Carrier may at any time and without notice to the Merchant: use any means of transport or storage whatsoever; transfer the Goods from one conveyance to another including trans-shipping or carrying the same on another Vessel or means of transport other than the Vessel named herein; proceed by any route in his discretion (whether or not the nearest or most direct or customary or advertised route) and proceed to or stay at any place or port whatsoever once or more often, and in any order; and/or load and unload the Goods at any place or port (whether or not any such port is named herein as the port of loading or port of discharge) and store the Goods at any such place or port.

17.2 The Vessel shall always have liberty to dry dock, go to repair yards, shift berths, shift or re-stow the Goods, and take in fuel or stores. These liberties may be invoked by the Carrier for any purpose whatsoever and anything done in accordance with this Clause or any delay arising therefrom shall not be deemed to be a breach by the Carrier of the contract evidenced by this Bill or a deviation. Should the Carrier be held liable in respect of any such action, the Carrier shall be entitled to the full benefit of the Carrier's defenses.

18. Matters Affecting Performance (Liberty)

18.1 If at any time the Carriage is or is likely to be affected by any hindrance, risk, delay, difficulty or disadvantage of any kind whatsoever and

howsoever arising (even if the circumstances giving rise to such hindrance, risk, delay, difficulty or disadvantage existed at the time this contract was entered into or the Goods were received for the Carriage), the Carrier (whether or not the Carriage is commenced) may, without prior notice to the Merchant and at its sole discretion either:

(a) Carry the Goods to the named Place of Delivery by an alternative route to that indicated in this Bill or that which is usual for the Goods consigned to that Place of Delivery (if the Carrier elects to invoke the terms of this Clause 18.1(a), then notwithstanding the provisions of Clause 17 hereof, he shall be entitled to charge such additional Freight as the Carrier may determine); or

(b) Suspend the Carriage of the Goods and store them ashore or afloat upon the terms of this Bill and endeavour to forward them as soon as possible, but the Carrier makes no representations as to the maximum period of suspension (if the Carrier elects to invoke the terms of this Clause 18.1(b) then he shall be entitled to such additional Freight and/or storage charges and/or legal fees and expenses as the Carrier may determine); or

(c) Abandon the Carriage of the Goods and place the Goods at the Merchant's disposal at any place or port which the Carrier may at his sole discretion deem safe and convenient, whereupon the Carrier's responsibility in respect of such Goods shall cease. The Carrier shall nevertheless be entitled to full Freight on the Goods received for the Carriage, and the Merchant shall pay any additional costs of the Carriage to, and delivery and storage at such place or port. If the Carrier elects to use an alternative route under Clause 18.1(a) or to suspend the Carriage under Clause 18.1(b), this shall not prejudice his right subsequently to abandon the Carriage.

19. Dangerous Goods, Contraband

19.1 The Carrier undertakes to carry Goods of an explosive, inflammable, radioactive, corrosive, damaging, noxious, hazardous, poisonous, injurious or any other dangerous nature only upon the Carrier's acceptance of a prior written application by the Merchant for Carriage of such Goods, which acceptance the Carrier shall not be obliged to give. Such application must accurately state the precise nature, name, label and classification of Goods as well as the method of rendering them innocuous, with the full names, addresses and telephone numbers of the Merchant.

19.2 The Merchant shall undertake that the nature of Goods referred to in 19.1 above is distinctly and permanently marked and manifested on the outside of the package(s) and Container(s) and shall also undertake to submit the documents or certificates required by any applicable statutes or regulations at any stage of Carriage or by the Carrier.

19.3 The Merchant warrants that such Goods are packed in a manner to withstand the risks of Carriage having regard to their nature and in compliance with all laws, regulations or requirements, which may be applicable to the Carriage.

19.4 Whenever Goods are perceived or are discovered to pose a threat to the Vessel, any other means of transport, cargoes, properties or persons, or not to comply with 19.1 or 19.2 above, or Goods are perceived or found to be contraband or prohibited by any laws or regulations of the port of loading, discharge or call, or any place or waters during Carriage, the Carrier shall be entitled to have such Goods rendered innocuous, thrown overboard or discharged and left to the Merchant at any stage and place the Carrier may choose, or otherwise disposed of at the Carrier's discretion without compensation, and the Merchant shall be liable for and indemnify the Carrier against all loss, damage or liability including loss of freight, and any claims, liability, loss, damage, delay, costs, fines and/or expenses directly or indirectly arising out of or resulting from such Goods and all resulting actions taken by the Carrier, and shall post any necessary bonds or financial guarantees as may be required.

20. Nuclear Incident and Valuable Goods

20.1 The Carrier shall not be responsible for any loss or damage to or in connection with the Goods arising or resulting from nuclear incident occurring at any time, unless caused by the actual fault or privity of the Carrier.

20.2 The Carrier shall not be liable to any extent for any loss of or damage to or in connection with platinum, gold, silver, jewellery, precious stones, precious metals, radioisotopes, precious chemicals, bullion, specie, currency, negotiable instruments, securities, writings, documents, pictures, works of art, curios, heirlooms, collections of every nature or any other valuable goods whatsoever including Goods having particular value only for the Merchant, unless the true nature and value of the Goods have been declared in writing by the Merchant before receipt of the Goods by the Carrier,

and the same is inserted in this Bill and ad valorem freight has been fully prepaid.

21. Notification and Delivery

21.1 Any mention in this Bill of parties to be notified of the arrival of the Goods is solely for information of the Carrier, and failure to give such notification shall not involve the Carrier in any liability nor relieve the Merchant of any obligation hereunder.

21.2 The Merchant shall take delivery of the Goods within the free storage time provided for in the Carrier's applicable Tariff(s) or otherwise. If the Merchant fails to do so, without prejudice to any other rights of the Carrier hereunder, the Carrier may without notice unload the Goods or part thereof from the Vessel or the Container and/or store the Goods or part thereof ashore, afloat, in the open or under cover at the sole risk of the Merchant. Such storage shall constitute due delivery hereunder, and thereupon all liability whatsoever of the Carrier in respect of the Goods or part thereof shall cease, and the costs of such unloading or storage (if paid or payable by the Carrier or any agent or Sub-Contractor of the Carrier) shall immediately on demand be paid by the Merchant to the Carrier.

21.3 The Merchant's attention is drawn to the stipulations regarding detention and demurrage in the Tariff(s). If the Goods are unclaimed during a reasonable period not to exceed 45 days or whenever in the Carrier's opinion the Goods will become deteriorated, decayed or worthless, the Carrier may, without prejudice to any other rights against the Merchant, at his sole discretion and subject to his lien and without any responsibility attaching to him, sell, abandon or otherwise dispose of such Goods solely at the risk and expense of the Merchant, and apply the proceeds of any such sale or disposal in reduction of the sums due to the Carrier from the Merchant.

21.4 Delivery of the Goods under this Bill shall be effected by the Carrier providing to the Merchant the Goods or a Delivery Order or the pin codes for any Electronic Release System as applicable, and if the Carrier is obliged to discharge the Goods into the hands of any customs, port or other authority, such discharge shall constitute due delivery of the Goods to the Merchant under this bill of lading.

22. Notice of Claim and Time for Suit

22.1 Unless notice of loss or damage and the general nature of such loss or damage is given in writing to the Carrier at the Place of Delivery (or Port of Discharge if no Place of Delivery is named on the reverse hereof) before or at the time of delivery of the Goods or, if the loss or damage be not apparent, within 3 days after delivery, the Goods shall be deemed to have been delivered as described in this Bill.

22.2 Where the Goods have been or may have been lost or damaged during the custody of Sub-Contractors, the Carrier shall be discharged from all liability whatsoever in respect of the Goods unless the Merchant gives the Carrier notice of loss and notice of claim in time for the Carrier to comply with the requirements of the Sub-Contractors. It is the Merchant's obligation to inquire as to those requirements. The Carrier is not obligated to volunteer that information.

22.3 In any event, except as provided in Clause 22.2, the Carrier shall be discharged from all liability whatsoever in respect of the Goods unless suit is brought within one year after delivery of the Goods or the date when the Goods should have been delivered.

23. General Average

23.1 General average shall be adjusted, stated and settled at any port or place at the Carrier's option according to the York-Antwerp Rules 1994, and as to matters not provided for by these Rules, according to the laws and usages of the port or place of adjustment, and in the currency selected by the Carrier. The general average statement shall be prepared by adjusters appointed by the Carrier. An average agreement or bond and such cash deposit as the Carrier may deem sufficient to cover the estimated contribution of the Goods and any salvage and special charges thereon and any other additional securities as the Carrier may require shall be furnished by the Merchant to the Carrier before delivery of the Goods.

24. Both to Blame Collision Clause and New Jason Clause

24.1 The Both-To-Blame Collision Clause and New Jason Clause published by the Baltic and International Maritime Council (BIMCO), copies of which are available upon request, are hereby incorporated into this Bill.

25. Governing Law and Jurisdiction

25.1 Subject to Clause 25.2 below, the contract evidenced by or contained in this Bill shall be governed by Singapore law except as may be otherwise provided for herein. Unless otherwise agreed by the Carrier, any action against the Carrier hereunder must be brought exclusively before the Singapore High Court. Any action by the Carrier to enforce any provision of this Bill may be brought before any court of competent jurisdiction at the option of the Carrier.

25.2 For shipments to or from the United States of America (including its districts territories and possessions), the contract evidenced by or contained in this Bill shall be governed by U.S law.

25.3 Where the Goods are subject to adverse or competing claims, the Carrier may place the Goods in the custody of a court of competent jurisdiction for a determination of ownership and/or right to possession at the sole expense of the Merchant, including Carrier's legal fees and disbursements. The Carrier shall have no liability to the Merchant arising out of such placement and the Merchant consents to the exclusive jurisdiction of such Court.

26. US Clause Paramount

26.1 If the Carriage covered by this Bill includes Carriage to or from a port or place in the United States of America, including its districts, territories and possessions, this Bill shall be subject to US COGSA, the terms of which are incorporated herein and US COGSA shall govern throughout the entire Carriage set forth in this Bill (and not just Waterborne Carriage) from the time of receipt of the Goods to the time of delivery of the goods. If US COGSA so applies, then with respect to Goods carried on deck and stated on the face hereof to be so carried, with respect to live animals, birds, reptiles, fish, shellfish and plants, all risk or loss or damage by perils inherent in or incidental to such Carriage shall be borne by the Merchant, and in all other

respects, the Carrier shall have benefit of the provisions of US COGSA, notwithstanding Section 1(c) thereof. Neither Clause 3.2(a), (b), the Hamburg Rules nor the Visby Amendments shall apply to the Carriage to or from the United States. The Carrier shall be entitled to the benefits of the defenses and limitations in US COGSA, whether or not the loss or damage to the Goods occurs at sea.

26.2 For limitation purposes under US COGSA, it is agreed that the meaning of the word "package" shall be any palletised and/or unitised assemblage of cartons which has been palletised and/or unitised for the convenience of the Merchant, regardless of whether said pallet or unit is disclosed on the front hereof. If US COGSA so applies, neither the Carrier nor the Vessel shall, in any event, be or become liable for any loss or damage to or in connection with the Goods in an amount exceeding \$500.00 lawful money of the United States per package, or in the case of Goods not shipped in packages, per customary freight unit, unless the nature and value of the Goods have been declared by the Shipper before shipment and inserted in this Bill.

27. Hamburg Rules

27.1 Notwithstanding the terms of Clause 25 herein if proceedings are brought before the courts of a Contracting State to the United Nations Convention on the Carriage of Goods by Sea 1978 (the Hamburg Rules) or the courts of any State whose national legislation makes the Hamburg Rules effective and if such courts adjudge the Hamburg Rules or such national legislation to be compulsorily applicable to this Bill, then in those circumstances only shall this Bill take effect subject to the Hamburg Rules or such national legislation and any term of this Bill derogating therefrom to the detriment of the Merchant shall be void to that extent but no further.

27.2 In any event the Carrier shall be entitled to contest enforcement of any judgment made in a Contracting State to the Hamburg Rules in any proceedings before courts in a Non-Contracting State.

EXHIBIT 3



Ocean Network Express PTE LTD.

c/o Ocean Network Express (North America) Inc.

TEL : 1-844-413-6029

FAX :

VAT NO. :

INVOICE

Bill To

PACIFIC LUMBER

1159 MCVEY ST. LAKE OSWEGO, OR 97035

Invoice No	RIC191ST2109ORG	Issue Date	25-Jan-19
Issue Office	RICBB	Due Date	10-Feb-19
Customer/Service Provider Code	US501052		
Reference			

Storage

SEQ	EQ Kind	EQ No	Tp/Sz	BKG No	VVD	Location	Last Free Date	Pick-up Date	Over Day	Amount	VAT
1	Container	BEAU4593133	D5	SAOU24000400	PNAT0836N	USHOU01	2018-11-13	2019-01-22	70	22,375.00	0.00
2	Container	BSIU9791698	D5	SAOU24000400	PNAT0836N	USHOU01	2018-11-13	2019-01-23	71	22,700.00	0.00
3	Container	KKFU8131010	D5	SAOU24000400	PNAT0836N	USHOU01	2018-11-13	2019-01-23	71	22,700.00	0.00
4	Container	TGCU0012443	D5	SAOU24000400	PNAT0836N	USHOU01	2018-11-13	2019-01-24	72	22,375.00	0.00
5	Container	TLLU4374520	D5	SAOU24000400	PNAT0836N	USHOU01	2018-11-13	2019-01-23	71	22,700.00	0.00

Currency	USD
Amount	112,850.00
Administration Charge	75.00
Deduction Amount	0.00
VAT	0.00
Total	112,925.00



Descriptions

Demurrage Calculation:BEAU4593133 Free Time: 5 Days; Demurrage Calculation:BSIU9791698 Free Time: 5 Days; Demurrage Calculation:KKFU8131010 Free Time: 5 Days; Demurrage Calculation:TGCU0012443 Free Time: 5 Days; Demurrage Calculation:TLLU4374520 Free Time: 5 Days;
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Remarks 1

Mail Payments to: Ocean Network Express PTE LTD. c/o Ocean Network Express (North America) Inc. 8730 Stony Point Parkway Suite 400 Richmond, VA 23235, United States For inquiries, please contact na ofs.liner.ar@one-line.com
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Remarks 2

Bank Remittance Information (For Electronic only): HSBC BANK USA, N.A 452 Fifth Ave, New York, NY 10018

For WIRE payments: ABA # 021001088 Account# 000274666 SWIFT Code: MRMDUS33

For ACH payments: ABA # 022000020 Account# 000274666 SWIFT Code: MRMDUS33
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Remittances for WIRE/ACH payments: Please email remittance details to : NA.FA.INTLREMITTS@ONE-LINE.COM
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Ocean Network Express PTE LTD.

c/o Ocean Network Express (North America) Inc.

TEL : 1-844-413-6029

FAX :

VAT NO. :

INVOICE

Bill To

PACIFIC LUMBER

1159 MCVEY ST. LAKE OSWEGO, OR 97035

Invoice No	RIC191ST2230ORG	Issue Date	28-Jan-19
Issuse Office	RICBB	Due Date	13-Feb-19
Customer/Service Provider Code	US501052		
Reference			

Storage

SEQ	EQ Kind	EQ No	TP/Sz	BKG No	VVD	Location	Last Free Date	Pick-up Date	Over Day	Amount	VAT
1	Container	DRYU6013081	D5	SAOU24596300	SKTT0837N	USHOU01	2018-11-23	2019-01-24	62	19,775.00	0.00
2	Container	FCIU9418861	D5	SAOU24596300	SKTT0837N	USHOU01	2018-11-23	2019-01-24	62	19,775.00	0.00
3	Container	TLLU4206254	D5	SAOU24596300	SKTT0837N	USHOU01	2018-11-23	2019-01-24	62	19,775.00	0.00
4	Container	TCNU3032100	D5	SAOU24596300	SKTT0837N	USHOU01	2018-11-23	2019-01-24	62	19,775.00	0.00
5	Container	TCNU2107307	D5	SAOU24596300	SKTT0837N	USHOU01	2018-11-23	2019-01-24	62	19,775.00	0.00

Currency	USD
Amount	98,875.00
Administration Charge	75.00
Deduction Amount	0.00
VAT	0.00
Total	98,950.00

BOE 00062



Descriptions

Demurrage Calculation: DRYU6013081 Free Time: 5 Days; Demurrage Calculation: TCNU3032100 Free Time: 5 Days; Demurrage Calculation: TLLU4206254 Free Time: 5 Days; Demurrage Calculation: FCIU9418861 Free Time: 5 Days; Demurrage Calculation: TCNU2107307 Free Time: 5 Days;

Remarks 1

Mail Payments to: Ocean Network Express PTE LTD. c/o Ocean Network Express (North America) Inc. 8730 Stony Point Parkway Suite 400 Richmond, VA 23235, United States
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For inquiries, please contact na ofs.liner.ar@one-line.com

Remarks 2

Bank Remittance Information (For Electronic only): HSBC BANK USA, N.A 452 Fifth Ave, New York, NY 10018

For WIRE payments:
 ABA # 021001088
 Account# 000274666
 SWIFT Code: MRMDUS33

For ACH payments:
 ABA # 022000020
 Account# 000274666
 SWIFT Code: MRMDUS33

Remittances for WIRE/ACH payments:
 Please email remittance details to :
NA.FA.INTLREMIT@ONE-LINE.COM

ATTACHMENT 2



ARRIVAL NOTICE

Ocean Network Express (North America) - Customer Service [Do Not Reply]

8730 Stony Point Parkway

Suite 400

Arrival Vessel : PALENA 836N

Flag : LR

O/BL Required : Yes

B/L No : ONEYSAOU24000400

CONSIGNEE ADDRESS	NOTIFY ADDRESS
PACIFIC LUMBER RESOUERCES INC 1159 MCVEY AVE, LAKE OSWEGO, OR 97034 - USA TEL: +1 503-675-0040	GREATWAY LOGISTICS GROUP LLC PO BOX 228104 MIAMI, FL 33222 - USA +1 908-305-2468 RICK@GREATWAYLOGISTICSGROUP.COM

Port of Discharging	HOUSTON, TX(FIRMS :S787)	SHIPPER ADDRESS
ETA	05 Nov 18 08:00	SOUTH SERVICE TRADING S/A
Place of Delivery	HOUSTON, TX	RODOVIA BR 101, N. 3136, SALA 04
ETA	05 Nov 18 18:00(CY)	BAIRRO SALSEIRO-ITAJAI - SC -
Place of Receipt	NAVEGANTES	BRASIL - CEP 88.318-100 >
Available Date	06 Nov 18 00:00	
Est. General Order	21 Nov 18 00:00	
In-bond Number	Not Applicable	
In-bond Type	Not Applicable	
I.T. HUB	Not Applicable	
AVAILABLE CONTAINER YARD		
BARBOURS CUT CONTAINER TERMINAL (PORT OF Barbours Cut Terminal 1515 E. Barbours Cut Blvd. LA Porte TX 77571 TEL : 7134701800 FAX : 1 FIRM & Code : S787		
TOTAL AMOUNT DUE		

CONTAINER#	TP	QTY SEAL#	WGT PU#	CHG	RATED AS	RATE	PER	COLLECT
BEAU4593133	D5	19 BE ECSA314825	26500 KGS	TSD	USD	5.000	5.00 BX	25.00
BSIU9791698	D5	19 BE ECSA314823	26500 KGS	[AMT by CUR] USD:25.00				
KKFU8131010	D5	19 BE ECSA314822	26500 KGS					
TGCU0012443	D5	19 BE ECSA314832	26500 KGS					

* SEE ATTACHED RIDER *

DESTINATION	Ocean Network Express (North America)
[I/B SVC]	TEL: 844-413-6029
	EMAIL: NA.CSVC.importinquiry@one-line.com
[TRAFFIC]	TEL: 844-413-6029
	EMAIL: NA.DeliveryOrders@one-line.com
[DELIVERY ORDER]	Submit directly to www.one-line.com

Purchase Order #		
Total Piece Count	95 BE	Total Weight : 132,500.000 KGS Measure : 254.515 CBM
Customs Description	ELLIOTIS PINE PLYWOOD	

IMPORTANT

* SEE ATTACHED RIDER *			
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Remark :

BOE 00064

CONTAINER#	TP	QTY	WGT
		SEAL#	PU#
TLLU4374520	D5	19 BE	26500KGS
		ECSA314837	

CONTAINER#	TP	QTY	WGT
		SEAL#	PU#

B/L No. : ONEYSAOU24000400

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Important Notice

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Important Notice

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Please note that we have recently amended our Arrival Notice issuance timeline: We will now be sending one Arrival Notice.

Arrival Notice: Scheduled to be sent 3 days after the container departs from the last foreign port of load. (If your shipment has a short transit time you will receive the arrival notice at least 3 days prior to the arrival at the POD).

Arrival notice will include the following details:

Vessel / Voyage details
ETA and Port of Discharge
Customer Information
Collect Freight Charges (where applicable)
information:
Inbond Information (date & number)
Firms Code
Addresses for pickup locations
ETA at Port of Discharge and Final Destination
Piece Count / Weight / Measure
Cross Border information (where applicable)

For empty return instructions, please visit www.returnlocation.com

Remittance Office:
Ocean Network Express PTE Ltd.
c/o Ocean Network Express North America, Inc.
8730 Stony Point Parkway, Suite 400
Richmond, VA 23235
Attn: Freight Cashier
Remittance Email: na.fa.intlremits@one-line.com

Bank Details:
HSBC Bank USA, N.A
Wire ABA No. 021001088
ACH ABA No. # 022000020
A/C No. 000274666
Swift Code: MRMDUS33

Please remit payment and send in any endorsed original bills of lading at least 48 hours prior to your preferred container pickup date in order to reduce the chance of demurrage accruing at the final destination

Please contact Ocean Network Express (North America), Inc. Customer Service at (844) 413-6029 for further assistance.